Chapter 26
Trade Practices

Article 1
Unfair Claims Settlement Acts or Practices

3 AAC 26.010. Purpose.
(a) The purpose of 3 AAC 26.010 - 3 AAC 26.300 is to define minimum standards for claim settlement acts and practices.
(b) Violation of a standard is an unfair or deceptive act and is prohibited.
(c) Violation of a standard with such frequency as to indicate a general business practice is an unfair or deceptive practice and is prohibited.
(d) Violation of a standard by a person who knew or should have known an act or practice violated the standard is subject to an additional penalty under AS 21.36.910(e).

3 AAC 26.020. Scope.
3 AAC 26.010 - 3 AAC 26.300 apply to all persons transacting a business of insurance who participate in the investigation, adjustment, negotiation, or settlement of a claim under all types of insurance.

3 AAC 26.030. File and record documentation.
(a) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim under any type of insurance must document each action taken on a claim. The documentation must contain all notes, work papers, documents and similar material. The documentation must be in sufficient detail that relevant events, the dates of those events, and all persons participating in those events can be identified. The documentation may include legible copies of originals and may be stored in the form of microfilm or electronic media. The documentation is subject to examination and copying by the director or persons acting on the director's behalf.
(b) A person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim under any type of insurance shall respond to inquiries from the director related to the claim not later than 10 days from the date of the director's inquiry. The response must include all documentation within the person's possession, custody, or control, or in the possession, custody, or control of other persons or entities acting on behalf of that person in relation to the claim, that is responsive to the director's inquiry.
(c) The director may assess a penalty under AS 21.36.910 of not more than $2,500 for each violation or $25,000 for engaging in a general business practice that violates (b) of this section.

3 AAC 26.040. Required claim communication.
(a) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a first-party claim must:
(1) within 10 working days after receipt of notification of a claim, give written acknowledgement to the first-party claimant identifying the person handling the claim, including the person's name, address, telephone number, the firm name, and the file number; payment of the claim within 10 working days after notification is satisfactory acknowledgement; provision of necessary claim forms, written instructions, and assistance as required in (3) of this subsection is satisfactory acknowledgement; notification of a claim to an agent constitutes notification to the principal;
(2) within 15 working days after receipt, make an appropriate reply to all other communications from a first-party claimant which reasonably indicates that a response is expected; receipt of a communication by an agent constitutes receipt by the principal;
(3) upon receipt of notification of a claim, promptly provide necessary claim forms, instructions, and assistance so that the first-party claimant is able to comply with legal, policy, or contract provisions and other reasonable requirements.
(b) Any person transacting a business of insurance who participates in the investigations, adjustment, negotiation, or settlement of a third-party claim must:
(1) within 10 working days after notification of the claim from a third-party claimant, give written acknowledgement to the third-party claimant, identifying the person handling the claim, including the person's name, address, phone number, the firm name, and the file number; payment of the claim within 10 working days after notification is satisfactory acknowledgement; provision of necessary claim forms, written instructions, and assistance as required in (3) of this subsection is satisfactory acknowledgement; notification of a claim to an agent constitutes notification to the principal;
(2) within 15 working days after receipt, make an appropriate reply to all other communications from a third-party claimant which reasonably indicates that a response is expected; receipt of a communication by an agent constitutes receipt by the principal;
(3) upon receipt of notification of a claim from a third-party, promptly provide necessary claim forms, instructions and assistance that is reasonable so that the third-party claimant is able to comply with any reasonable requirement;
(4) within 10 working days after notification of a claim received from or on behalf of an insured, give written acknowledgement to the insured, identifying the person handling the claim, including the person's name, mailing address, telephone number, the firm name, and the file number; notification of a claim to an agent constitutes notification to the principal.
(c) If notification of a claim is received in the form of a suit, a demand for arbitration, application for adjudication, or other pleading, any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim shall comply with the rules of that particular forum rather than this section only so long as the claim is pending in that forum.
(d) This section does not apply to an insurance claim subject to AS 21.36.495 or other health insurance claim for which the insurer complies with AS 21.36.495.

3 AAC 26.050. Standards for prompt investigation of claims.
(a) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim shall promptly undertake the investigation of a claim after notification of the claim is received, and shall complete the investigation within 30 working days, unless the investigation cannot reasonably be completed using due diligence.
(b) Unless the notification of a claim is in the form of a suit, demand for arbitration, application for adjudication, or other pleading, or the claim becomes the subject of such litigation within 30 working days, the person transacting the business

of insurance shall give written notification to the claimant that specifically states the need and reasons for additional investigative time and also specifies the additional time required to complete the investigation. That notification shall be given no later than the 30th working day after notification of the claim is first received.
(c) This section does not apply to an insurance claim subject to AS 21.36.495 or other health insurance claim for which the insurer complies with AS 21.36.495.

3 AAC 26.060. Disclosure and representation of coverage provisions.

Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim:

(1) shall fully disclose to a first-party claimant all relevant benefits and other provisions of coverage under which a claim may be covered;

(2) may not deny a claim on the ground that the first-party claimant failed to exhibit the property without written proof of demand and the unwarranted delay or refusal by the first-party claimant to do so;

(3) may not, except where there is a time limit specified in the coverage document, make statements, written or otherwise, requiring a first-party claimant to give written notice of loss, statement of claim, proof of loss, or similar affidavit within a specified time limit;

(4) may not request a first-party claimant to agree to a compromise or enter into a release that extends beyond the subject matter that gives rise to the claim payment; and

(5) may not issue a check, draft, warrant or other claim payment in partial settlement of a loss or claim under a specified coverage, which contains language that releases or compromises the issuer or its principal from any other liability.

3 AAC 26.070. Standards for prompt, fair, and equitable settlements.

(a) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a first-party claim:

(1) shall advise a first-party claimant in writing of the acceptance or denial of the claim within 15 working days after receipt of a properly executed statement of claim, proof of loss, or other acceptable evidence of loss unless another time limit is specified in the insurance policy, insurance contract, or other coverage document; payment of the claim within this time limit constitutes written acceptance; a written denial of the claim must state the specific provisions, conditions, exclusions, and facts upon which the denial is based; if additional time is needed to determine whether the claim should be accepted or denied, written notification giving the reasons that more time is needed shall be given to the first-party claimant within the deadline. While the investigation remains incomplete, additional written notification shall be provided 45 working days from the initial notification, and no more than every 45 working days thereafter giving the reasons that additional time is necessary to complete the investigation; if there is a reasonable basis supported by specific information for suspecting that a first-party claimant has fraudulently caused or wrongfully contributed to the loss, and the basis is documented in the claim file, this reason need not be included in the written request for additional time to complete the investigation or the written denial; however, within a reasonable time for completion of the investigation and after receipt of a properly executed statement of claim, proof of loss, or other acceptable evidence of loss, the first-party claimant shall be advised in writing of the acceptance or denial of the claim;

(2) shall, within 30 working days after receipt of a properly executed statement of claim, proof of loss, or other acceptable evidence of loss, pay those portions of the claim not in dispute;

(3) may not fail to settle first-party claims on the basis that responsibility for payment must be assumed by others, except as may be expressly provided by provisions of the insurance policy, insurance contract, or other coverage document.

(b) A person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a third-party claim may not make any statement that indicates that the rights of a third-party claimant may be impaired if a form, compromise, release, or similar document is not completed within a given period of time, unless the statement is given for the purpose of notifying the third-party claimant of an applicable statute of limitation.

(c) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim may not continue negotiations for settlement of the claim directly with any claimant who is neither an attorney nor represented by an attorney to a time when the claimant's rights might be affected by a statute of limitation, coverage provision, or other time limit, unless written notice is given to the claimant clearly stating the time limit that might be expiring and its effect upon the claim; such a written notice shall be given at least 60 calendar days before the date on which the time limit might expire.

(d) A person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a claim shall pay a judgment or settlement of the claim including advances, partial settlements, or similar payments

(1) with a negotiable check payable in cash to the payee upon presentation to a bank located in this state; if the check is not drawn upon a bank having a physical location in this state, the check must be payable in cash upon presentation to at least one bank having a physical location in this state;

(2) by electronic funds transfer; or

(3) by prepaid card product, if approved by the director.

(e) The provisions of (a), (b), and (c) of this section do not apply to an insurance claim subject to AS 21.36.495 or other health insurance claim for which the insurer complies with AS 21.36.495.

3 AAC 26.075. Arbitration.

An insurer may include an arbitration provision in an insurance contract subject to the following:

(1) the insurer and the insured must agree to the arbitration provision;

(2) the arbitration provision must describe the manner for

(A) initiating the arbitration process; and

(B) appointing the arbitrator; the descriptions required in (A) of this paragraph and this subparagraph may be accomplished by reference to a specific arbitration entity or arbitration rules;

(3) the insurer and the insured must agree to the venue of an arbitration proceeding before the proceeding begins; if no agreement on the venue of an arbitration proceeding is reached, the insurer, insured, or both jointly may request the director to make the venue determination after a hearing;

(4) a participant in an arbitration proceeding must have the option of participating by telephone;

(5) except as otherwise provided in AS 21.96.020(f), AS 09.43 must govern the agreement to arbitrate; and

(6) the insurer must retain in the insurer's records documentation to establish the insurer or the insurer's agent specifically informed the insured, before the insured entering into the insurance contract, of

(A) the arbitration provision in the insurance contract; and

(B) the right of a participant in an arbitration proceeding to participate by telephone; the insurer shall retain the documentation required under this paragraph for the longer of four years or until the arbitration provision is no longer in effect or contested.

3 AAC 26.080. Additional standards for prompt, fair, and equitable settlements of motor vehicle claims.

(a) A person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a first-party or third-party motor vehicle claim shall

(1) apply one of the following settlement methods if coverage provides for the adjustment of a motor vehicle total loss on the basis of actual cash value or replacement with a vehicle of like kind and quality:

(A) offer a comparable and available replacement motor vehicle, with all applicable taxes, license fees, destination or delivery charges, and other fees incident to transfer of ownership of the motor vehicle paid, at no cost to the claimant other than the deductible amount, if any, as stated in the coverage; the offer of a replacement motor vehicle shall be made in writing if rejected by the claimant; or

(B) make a cash settlement based upon the actual cost to purchase a comparable motor vehicle, including all applicable taxes, license fees, destination or delivery charges, and other fees incident to transfer of ownership, less the deductible amount, if any, as stated in the coverage; the cost shall be determined by

(i) the cost of a comparable motor vehicle in the local market area to the claimant, if that motor vehicle is available in that area or was available during the last 90 days;

(ii) the average of two or more cost quotations obtained for a comparable motor vehicle from two or more licensed dealers located within the local market area, if a comparable motor vehicle is not available in that area; if quotes from two or more licensed dealers are not available from the local market area, the search area may be expanded to areas surrounding the local market area in 25-mile increments until two quotes are obtained;

(iii) a computerized database valuation service that produces statistically valid fair market values under (i) of this section;

(iv) the average retail value of a comparable motor vehicle, if that value is obtained from two industry sources published on a regular basis, at least once every two months, that contain the average retail, wholesale, and finance values for all makes and models for at least each of the last five model years, as well as a listing for all major options; cost may be determined under this sub-subparagraph only if (i) - (iii) of this subparagraph do not identify any comparable motor vehicles, and only with the consent of the claimant; or

(v) the cost of a comparable motor vehicle using a basis that is allowable under the coverage, if supported by documentation in the claim file and fully explained to the claimant; cost may be determined under this sub-subparagraph only if (i) - (iv) of this subparagraph do not identify any comparable motor vehicles;

(2) provide to a claimant a reasonable written explanation of the valuation of damages to the motor vehicle;

(3) include the first-party claimant's deductible, if any, in a subrogation demand unless the first-party claimant requests that it not be included or unless the deductible has been otherwise recovered by the first-party claimant; no deduction for expense may be made from any deductible recovered unless an outside attorney or other outside expert witnesses have been retained and any deduction is no more than a pro rata share of their cost less any attorney fees and costs recovered; any recovery of prejudgement or postjudgement interest shall be shared pro rata.

(b) Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a third-party motor vehicle claim

(1) repealed 6/6/2015;

(2) may not recommend that a third-party claimant make a claim under the claimant's own coverage in order to delay or avoid paying a claim where liability and damages are reasonably clear.

(c) A claimant may not be required to travel unreasonably either to inspect a replacement motor vehicle, obtain a repair estimate, or have the motor vehicle repaired at a specific facility.

(d) Any estimate or appraisal of the cost of repair of a motor vehicle must be in a fair and appropriate amount that the claimant may reasonably be expected to be charged for repairs at one or more conveniently located repair facilities.

(e) If the amount claimed as damage to the motor vehicle is reduced on the basis of betterment or depreciation, the person adjusting or settling the claim shall itemize each deduction and explain the basis for each reduction in writing to the claimant.

(f) If a person adjusting or settling a claim elects to have repaired a claimant's motor vehicle and chooses a specific facility for the repairs, that person shall guarantee the repairs and cause the damaged motor vehicle to be restored to its condition before the loss, at no additional cost to the claimant, and cause the repairs to be completed within a reasonable time.

(g) If the claimant's motor vehicle is determined to be economically unrepairable and, therefore, a total loss, the person adjusting or settling the claim may not reduce the salvage value of the vehicle by charges for cleaning.

(h) An insurer may reduce the value of the motor vehicle on the basis of betterment. Any deductions must be measurable, be itemized, have specific dollar amounts, and be documented in the claim file. Betterment deductions may be made only if the deductions

(1) reflect a measurable decrease in market value attributable to the poorer condition of the vehicle or damage to the vehicle that existed before the current claim;

(2) apply to parts normally subject to repair and replacement during the useful life of the vehicle;

(3) reflect missing parts and the deductions are not more than the replacement cost of the parts.

(i) A source for determining fair market values under (a)(l)(B)(iii) of this section must meet the following criteria:

(1) the source must give primary consideration to the values of comparable motor vehicles in the local market area that are currently available or were available during the last 90 days;

(2) the source must produce values applicable in this state for at least 85 percent of all makes and models for the last 15 model years taking into account the values of all major options for these vehicles;

(3) if at least two comparable motor vehicles are not found in the local market area during the last 90 days, the search may be expanded up to the last 180 days in 30-day increments until two or more comparable motor vehicles are located;

(4) if at least two comparable motor vehicles are not found in the local market area after expanding the search period as provided under (3) of this subsection, the search area may be expanded to areas surrounding the local market area in 25-mile increments for comparable motor vehicles that are currently available or were available during the last 90 days; if at least two comparable motor vehicles are not found in the expanded search area, the search area or time period in 30-day increments may be expanded further with the agreement of the claimant.

(j) If the claimant notifies the insurer not later than 60 days after receipt of the claim payment that the claimant cannot purchase a comparable vehicle for the amount determined under (a)(l)(B) of this section, the insurer shall, if the appraisal section of the policy has not been exercised, reopen the insurer's claim file and determine a new settlement amount using

one of the following procedures:

(1) the insurer may locate a comparable motor vehicle available through a licensed dealer for the value determined by the insurer at the time of settlement, along with all applicable taxes, license fees, destination or delivery charges, and other fees incident to transfer of ownership of the motor vehicle, at no cost to the claimant other than the deductible amount, if any, as stated in the coverage;

(2) if the claimant has located a comparable motor vehicle of like kind and quality, the insurer may

(A) pay the difference between the value determined by the insurer at the time of settlement and the cost of the comparable motor vehicle; or

(B) negotiate and effect the purchase of the comparable motor vehicle for the claimant;

(3) for a first-party claimant, the insurer may conclude the loss settlement using the appraisal provisions of the policy.

(k) An insurer is not required to take action under (j) of this section if

(1) the insurer provided documentation to the claimant at the time of settlement of the location of a specific comparable motor vehicle available for purchase for the agreed settlement amount and the claimant did not purchase this vehicle not later than 10 working days after the date final payment is sent to the claimant, lienholder, or both; or

(2) the appraisal section of the policy has been exercised.

(l) If comparable motor vehicles cannot be found under the procedures described in this section, the insurer may consider vehicles by other manufacturers that otherwise fall within the definition of "comparable motor vehicle" under 3 AAC 26.300 in the valuation processes described in this section.

(m) This section does not prohibit an insurer from issuing a stated policy insuring against physical damage, where the amount of damages to be paid in the event of a total loss is a specified dollar amount.

3 AAC 26.090. Additional standards for prompt, fair, and equitable settlements of property claims.

(a) A person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a first-party or third-party property claim shall

(1) apply one of the following settlement methods if coverage provides for the adjustment of a claimant's property loss on the basis of actual cash value or replacement with other property of like kind and quality;

(A) offer specific comparable and available replacement property with all applicable taxes, charges, and other fees incident to the transfer of ownership of the property at no cost to the claimant other than the deductible amount, if any, as stated in the coverage; the offer of replacement property must be in writing if rejected by the claimant.

(B) make a cash settlement based upon the actual cost of comparable property, including all applicable taxes, charges and other fees incident to transfer of ownership, less the deductible amount, if any, as stated in the coverage; the cost shall be determined by

(i) the cost of comparable property in the local market area to the claimant, if comparable property is available in that area or was available during the last 90 days; or

(ii) the average of two or more cost quotations obtained for comparable property from two or more licensed dealers, suppliers, or contractors located within the local market area, if comparable property is not available in that area;

(iii) repealed 6/6/2015;

(2) provide to a claimant a reasonable written explanation of the valuation of the damages to the property;

(3) include the first-party claimant's deductible, if any, in a subrogation demand unless the first-party claimant requests that it not be included or unless the deductible has been otherwise recovered by the first-party claimant; no deduction for expense may be made from any deductible recovered unless an outside attorney or other outside expert witnesses have been retained and deduction may be for no more than a pro rata share of their cost less attorney fees and costs recovered; any recovery of prejudgement or postjudgement interest shall be shared pro rata.

(b) Any person transacting the business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a third-party property claim

(1) repealed 6/6/2015;

(2) may not recommend that a third-party claimant make a claim under the claimant's own coverage in order to delay or avoid paying a claim where liability and damages are reasonably clear.

(c) Any person settling or adjusting a property claim may not require a claimant to travel unreasonably either to inspect replacement property, obtain a repair estimate, or have the property repaired at a specific facility.

(d) Any estimate of the costs of the repair of the property must be a fair and appropriate amount for which the damage can be reasonably expected to be repaired at one or more conveniently located repair facilities, dealers, or contractors.

(e) Any person who reduces the amount claimed as damage to property on the basis of betterment or depreciation shall itemize each deduction. The basis for the reduction shall be documented in the claim file.

(f) If a person adjusting or settling a claim elects to have repaired a claimant's property and chooses a specific repair facility, dealer, or contractor, that person shall guarantee the repairs and cause the damaged property to be restored to its condition before the loss, at no additional cost to the claimant, and cause the repairs to be completed within a reasonable period of time.

(g) If no comparable property is found in the local market area, the search may be expanded up to the last 180 days in 30-day increments until a comparable property is located.

(h) If no comparable property is found in the local market area after expanding the search period as provided under (g) of this section, the search area may be expanded to areas surrounding the local market area that include two additional licensed dealers, suppliers, or contractors for property that is currently available or that was available during the last 90 days.

(i) If no comparable property is found in the expanded search area or time period allowed under (g) and (h) of this section, the search area may be further expanded or the time period may be expanded in 30-day increments.

(j) If the claimant notifies the insurer not later than 60 days after receipt of the claim payment that the claimant cannot purchase replacement property for the amount determined under (a)(l)(B) of this section, the insurer shall, if the appraisal section of the policy has not been exercised, reopen the insurer's claim file and determine a new settlement amount using one of the following procedures:

(1) the insurer may locate comparable property through a licensed dealer, supplier, or contractor for the value determined by the insurer at the time of settlement;

(2) if the claimant has located comparable property of like kind and quality, the insurer may

(A) pay the difference between the value determined by the insurer at the time of settlement and the cost of the comparable property; or

(B) negotiate and effect the purchase of the comparable property for the claimant;

(3) for a first-party claimant, the insurer may conclude the loss settlement using the appraisal provisions of the

policy.

(k) An insurer is not required to take action under (j) of this section if

(1) the insurer provided documentation to the claimant at the time of settlement of the location of specific comparable property available for purchase for the agreed settlement amount and the claimant did not purchase this property not later than 10 working days after the date final payment is sent to the claimant, lienholder, or both; or

(2) the appraisal section of the policy has been exercised.

(l) Any person adjusting, negotiating, or settling a property claim on the basis of replacement cost

(1) shall include in the repair or replacement of the property or part of the property any consequential physical damage incurred in making the repair or replacement that is not otherwise excluded by the policy; the claimant is not required to pay for betterment or any other cost except for the applicable deductible;

(2) for a loss that requires replacement of property, and if the replacement property does not match in quality, color or size, shall replace the property in the area to provide for a reasonably uniform appearance; this paragraph applies to interior and exterior losses; the claimant is not required to pay for betterment or any other cost except for the applicable deductible.

3 AAC 26.100. Additional standards for prompt, fair, and equitable settlements of workers' compensation claims.

Any person transacting a business of insurance who participates in the investigation, adjustment, negotiation, or settlement of a workers' compensation claim:

(1) may not require a claimant to travel unreasonably for medical care, rehabilitation services, or any other purpose;

(2) shall provide necessary claim forms, written instructions, and assistance that is reasonable so that any claimant not represented by an attorney is able to comply with the law and reasonable claims handling requirements;

(3) shall promptly make all payments or denials of payments as required by statute or regulation.

3 AAC 26.110. Additional standards for prompt, fair, and equitable settlements of health claims.

(a) A person who provides coverage in this state for health care services or supplies on an expense incurred basis for which benefits are based on an amount that is less than the actual amount billed for the health care services or supplies shall

(1) for a vaccine covered by an insurance policy that is an included vaccine and purchased by a provider instead of obtained from the state under the statewide immunization program established under AS 18.09.200, determine the final payment for the covered vaccine at an amount equal to or greater than the cost of the state-purchased vaccine under the statewide immunization program; in this paragraph, "included vaccine" has the meaning given in AS 18.09.990;

(2) provide an explanation of the basis of payments in clear and simple terms with any claim payment and document the provided explanation in the claim file; and

(3) provide an explanation of the basis of payments in the health insurance policy, including any payments for which a covered individual may be responsible, and include on any schedule or summary of benefits page accompanying the policy a statement regarding whether the covered individual is responsible for any amount billed for a health care service or supply item that exceeds the final payment.

(b) This section does not apply to workers' compensation claims.

(c) If a person who is required to include a coordination of benefits provision under AS 21.42.205 provides coverage on a secondary basis,

(1) absent evidence of fraud, the secondary insurer must accept the primary insurer's precertification, utilization review, or other managed care requirement determination and may not deny, delay, or reduce benefits under its policy for a covered person who has met the primary insurer's precertification, utilization review, or other managed care requirement; and

(2) the secondary insurer must calculate its covered benefits at no greater cost to the covered person than if the health care services were obtained from the secondary insurer's participating provider if

(A) the secondary policy provides benefits through a provider network but the primary insurer's policy does not provide coverage through a provider network;

(B) both the primary policy and the secondary policy provide benefits through provider networks but the covered person obtains health care services from a provider that is in the provider network of the primary insurer but not the provider network of the secondary insurer; or

(C) both the primary policy and the secondary policy provide benefits through provider networks but the covered person obtains health care services from a provider that is not part of the provider network of the primary insurer or the secondary insurer because no provider in the primary insurer's provider network is able to meet the particular health need of the covered person.

(d) A health care insurer shall give written notice to a health care provider, health care facility, or consumer at least 30 calendar days before the insurer seeks recovery of an overpayment. The notice must include adequate information for the health care provider, health care facility, or consumer to identify the specific claim and the specific reason for the recovery. A health care insurer may not initiate recovery of an overpayment more than 365 days after the date the original payment was made to a health care provider, health care facility, or consumer, or its agents, unless the health care insurer has clear and documented reason to believe that the health care provider, the health care facility, or consumer, or its agents has committed fraud or other intentional misconduct.

(e) A health care insurer shall provide a health care provider, health care facility, or consumer with an opportunity to challenge the recovery of an overpayment, including sharing of claims information, and shall establish written policies and procedures for a health care provider, health care facility, or consumer to follow in order to challenge the recovery of an overpayment.

(f) If a health insurance policy provides in-network and out-of-network benefits, the policy must provide at a minimum the in-network benefit level for the following:

(1) emergency services;

(2) services or supplies provided by an out-of-network health care provider or health care facility, if an in-network health care provider or health care facility is not reasonably accessible as defined in the policy;

(3) services provided by an out-of-network health care provider as part of a covered stay at an in-network health care facility when a covered individual does not have or is not given a choice of health care provider.

(g) An insurer may require a covered individual to purchase specialty drugs from a specific in-network health care provider in order to receive benefits under a health insurance policy, unless the specialty drug is not available from the health care provider when needed and a delay in receiving the drug would threaten the efficacy of treatment or the life of the covered individual.

(h) An insurer may require a covered individual to receive transplant services from an in-network health care provider in order to receive benefits under a health insurance policy, unless transplant services are not available from a network

health care provider when needed and a delay in receiving the transplant services would threaten the efficacy of treatment or the life of the covered individual.

(i) An insurer may not process claims based on a procedure code that differs from the procedure code specified in the claim unless agreed upon by the health care provider that provided the service or supply.

(j) If an insurer provides benefits to a domestic partner, then the insurer may not unfairly discriminate on the basis of gender and must provide benefits to both same and opposite gender domestic partners.

(k) If an insurer, for purposes of negotiating discounts with a health care provider, delays payment of an otherwise clean claim beyond the timeframes under AS 21.36.495, the insurer is subject to the 15 percent interest penalty under AS 21.36.495(c) or (d).

(l) An insurer may not reduce the payment on a current claim for an overpayment on a previous claim unless the reduction

(1) is determined to be in compliance with (d) and (e) of this section; and

(2) does not result in a reduction on the amount allowed on any other claims of the covered individual.

3 AAC 26.300. Definitions.

In this chapter,

(1) "claim" means notice that an event, act or omission has occurred which may result in injury or damage for which an insured may be legally obligated to pay;

(2) "claimant" means a first-party claimant, a third-party claimant, or both, and includes the claimant's legal representative and includes a member of the claimant's immediate family if authorized by the claimant;

(3) repealed 8/20/2016;

(4) "destination or delivery charges" means the charges for shipping a motor vehicle to a primary residence of the claimant or to where the motor vehicle is primarily operated;

(5) "first-party claimant" means a person asserting a right to payment under his or her own coverage;

(6) "frequency as to indicate a general business practice" means violation of any one standard committed on one or more percent of claims handled within a 12-month period, or the repeated violation of a single standard without reasonable explanation;

(7) "local market area" means the geographical area, in the closest proximity to the claimant's residence, in which two or more licensed dealers are located;

(8) "outside attorney" means an attorney who is in private practice and not an employee of a person transacting a business of insurance under AS 21;

(9) repealed 8/20/2016;

(10) "third-party claimant" means any person asserting a claim against any other person;

(11) repealed 9/15/2004;

(12) "working days" means all calendar days except Saturdays, Sundays, all official federal holidays, and all official Alaska holidays.

(13) "comparable motor vehicle" means a motor vehicle by the same manufacturer, of the same or newer model year, and with similar body style, similar options, and similar mileage as the loss vehicle, and in as good or better condition;

(14) "licensed," when used with reference to a dealer, supplier, or contractor, means in possession of a current business license under AS 43.70 and 12 AAC 12;

(15) "similar mileage" means having mileage that does not exceed the mileage of the loss vehicle on the date of loss by more than 4,000 miles or 10 percent of the mileage of the loss vehicle, whichever is greater.

(16) "clean claim" has the meaning given in AS 21.36.495;

(17) "electronic funds transfer" means a paperless or cardless transfer of funds initiated by an insurer to authorize a financial institution to credit a claimant's account using the insurer's funds in order to pay a judgment or settlement of a claim;

(18) "emergency medical condition" means a medical condition manifesting itself by acute symptoms of sufficient severity, including severe pain, that a prudent person who possesses an average knowledge of health and medicine could reasonably expect that the absence of immediate medical attention would result in serious impairment of bodily functions, serious dysfunction of a bodily organ or part, or would place the person's health or, with respect to a pregnant woman, the health of the woman or her unborn child, in serious jeopardy.

(19) "emergency services" means medical care services or items furnished or required to evaluate and treat an emergency medical condition;

(20) "health care insurance" has the meaning given in AS 21.12.050;

(21) "prepaid card product" means a reloadable card issued by a financial institution in the name of the claimant that is loaded with funds from an insurer to pay a judgment or settlement of a claim;

(22) "procedure code" means a universal code used by a health care provider to identify the services or supplies provided to an insured under a health care insurance policy.

Article 2
Unfair Discrimination

3 AAC 26.410. Unfair discrimination; blindness or partial blindness.

(a) The following acts constitute unfair discrimination between individuals of the same class when based solely on blindness or partial blindness:

(1) refusing to insure;

(2) refusing to continue to insure;

(3) limiting the amount, extent, or kind of insurance coverage available; or

(4) charging an individual a different rate for the same coverage.

(b) With respect to all other conditions, including the underlying cause of the blindness or partial blindness, this section may not be interpreted to prohibit the refusal to insure, the limitation of insurance coverage, or a rate differential if that act is based on sound actuarial principles or is related to actual, demonstrated experience or to experience that can be reasonably anticipated.

(c) For the purpose of this section, the term "refusing to insure" includes declining to insure an individual who is blind or partially blind because the insurance policy for which application is made contains a provision that presumes either total, permanent, or partial disability in the event that an insured person becomes blind or partially blind and would result in a valid claim under the policy. However, an insurer may, by policy provision, written rider, or endorsement, exclude from coverage disabilities consisting solely of blindness or partial blindness if either condition is in existence at the time the policy is issued.

Article 3
Military Sales Practices

3 AAC 26.430. Applicability.

(a) The provisions of 3 AAC 26.430 - 3 AAC 26.449 apply to a solicitation or sale of a life insurance or annuity product by an insurer or insurance producer to an active duty service member of the United States armed forces, except for a solicitation or sale involving

(1) consumer credit insurance; in this paragraph, "consumer credit insurance" has the meaning given in AS 21.57.160;

(2) a group life insurance policy or group annuity contract

(A) in which in-person, face-to-face solicitation of individuals by an insurance producer does not take place; or

(B) if the contract or certificate does not include a side fund;

(3) an application to an insurer that issued an existing life insurance policy or annuity contract to

(A) exercise a contractual change or conversion privilege;

(B) replace the existing policy or contract by the same insurer under a program filed with and approved by the director; or

(C) exercise a term conversion privilege among corporate affiliates;

(4) an individual stand-alone health insurance policy, including a disability income policy;

(5) a contract offered by Servicemembers' Group Life Insurance or Veterans' Group Life Insurance, as authorized by 38 U.S.C. 1965 - 1980A;

(6) a life insurance contract offered through or by a nonprofit military association qualifying under 26 U.S.C. 501(c)(23) (Internal Revenue Code) and that is not underwritten by an insurer; or

(7) a life insurance policy or annuity contract that is used to fund

(A) an employee pension or welfare benefit plan covered under 29 U.S.C. 1001 - 1461 (Employee Retirement Income Security Act of 1974);

(B) a plan described in 26 U.S.C. 401(a) or (k), 26. U.S.C. 403(b), or 26 U.S.C. 408(k) or (p) (Internal Revenue Code), if the plan is established or maintained by an employer;

(C) a governmental or church plan defined in 26 U.S.C. 414 (Internal Revenue Code), including a governmental or church welfare benefit plan;

(D) a deferred compensation plan of a state or local government or tax exempt organization under 26 U.S.C. 457 (Internal Revenue Code);

(E) a nonqualified deferred compensation arrangement under 26 U.S.C. 409A (Internal Revenue Code) established or maintained by an employer or plan sponsor;

(F) a settlement of or assumption of liabilities associated with personal injury litigation or a dispute or claim resolution process; or

(G) a formal prepaid funeral contract.

(b) Nothing in 3 AAC 26.430 - 3 AAC 26.449 abrogates the ability of an organization to educate members of the United States armed forces in accordance with the United States Department of Defense's DoD Instruction 1344.07 - Personal Commercial Solicitation on DoD Installations or successor directive.

(c) Except as provided in (d) of this section, for purposes of 3 AAC 26.430 - 3 AAC 26.449, solicitation does not include

(1) a general advertisement;

(2) direct mail;

(3) Internet marketing; or

(4) telephone marketing, if the caller explicitly and conspicuously discloses that the subject matter of the call is life insurance and does not make a statement that avoids a clear and unequivocal statement that life insurance is the subject matter of the solicitation.

(d) Notwithstanding (c) of this section, and for purposes of 3 AAC 26.430 - 3 AAC 26.449, a solicitation includes an in-person, face-to-face meeting established by an insurer or insurance producer using one or more of the methods listed in (c) of this section.

3 AAC 26.435. Unfair or deceptive acts or practices on a military installation.

An insurer or insurance producer engages in an unfair or deceptive act or practice if the insurer or insurance producer conducts on a military installation an in-person, face-to-face solicitation of life insurance for which the insurer or insurance producer

(1) knowingly solicits the purchase of a life insurance product door-to-door, or does not establish a specific appointment before each meeting with a prospective purchaser;

(2) solicits service members in a required group gathering;

(3) knowingly makes appointments with or solicits service members during the members' normally scheduled duty hours;

(4) makes appointments with or solicits service members in barracks, day rooms, unit areas, transient personnel housing, or other areas where the installation commander has prohibited solicitation;

(5) solicits the sale of life insurance without first obtaining permission from the installation commander or the commander's designee;

(6) posts unauthorized bulletins, notices, or advertisements;

(7) fails to present DD Form 2885, Personal Commercial Solicitation Evaluation, to solicited service members or encourages solicited service members not to complete or submit DD Form 2885;

(8) knowingly accepts an application for life insurance or issues a policy of life insurance on the life of an enlisted member of the United States armed forces without first obtaining and retaining in the insurer's or insurance producer's files a completed copy of any form required by regulations, directives, or rules of the United States Department of Defense or a branch of the United States armed forces that confirms that the applicant has received counseling or fulfilled any other similar requirement for the sale of life insurance;

(9) uses United States Department of Defense personnel to act as representatives or agents in an official or business capacity with respect to the solicitation or sale of life insurance to service members; or

(10) participates in a United States armed forces-sponsored education or orientation program.

3 AAC 26.440. Unfair or deceptive acts or practices regardless of location.

An insurer or insurance producer engages in an unfair or deceptive act or practice if the insurer or insurance producer

(1) submits, processes, or assists in the submission or processing of an allotment form or similar device used by the United States armed forces in order to direct a service member's pay to a third party for the purchase of life insurance,

including using or assisting in using a service member's MyPay account or other similar Internet or electronic medium for those purposes, except for assisting a service member by providing insurer or premium information necessary to complete an allotment form;

(2) knowingly receives money from a service member for the payment of premium from a depository institution with which the service member does not have a formal banking relationship; for purposes of this paragraph, a formal banking relationship is established when the depository institution

(A) provides the service member a deposit agreement and periodic statements and makes the disclosures required by 12 U.S.C. 4301 - 4313 (Truth in Savings Act); and

(B) permits the service member to make deposits and withdrawals unrelated to the payment or processing of insurance premiums;

(3) employs a device or method or enters into an agreement in which money received from a service member by allotment for the payment of insurance premiums is identified on the service member's Leave and Earnings Statement or equivalent or successor form as "savings" or "checking" and for which the service member has no formal banking relationship as described in (2) of this section;

(4) enters into an agreement with a depository institution for the purpose of receiving money from a service member in which the depository institution agrees to accept direct deposits from a service member with whom it does not have a formal banking relationship as described in (2) of this section;

(5) uses United States Department of Defense personnel to act as representatives or agents in a solicitation or sale of life insurance to a service member who is junior in rank or grade or to a family member of the service member;

(6) offers or gives anything of value to United States Department of Defense personnel to procure their assistance in encouraging, assisting, or facilitating the solicitation or sale of life insurance to another service member;

(7) knowingly offers or gives anything of value to a service member in a pay grade of E-4 or below to attend an event where an application for life insurance is solicited;

(8) advises a service member in a pay grade of E-4 or below to change the service member's income tax withholding or state of legal residence for the sole purpose of increasing disposable income to purchase life insurance;

(9) makes a representation, or uses a device, title, descriptive name, or identifier that has the tendency or capacity to confuse or mislead a service member to believe that the insurer, insurance producer, or insurance product offered is affiliated, connected, or associated with, or endorsed, sponsored, sanctioned, or recommended by the United States government, the United States armed forces, a state or federal agency, or a government entity; the use of a professional designation awarded after the successful completion of a course of instruction in the business of insurance by an accredited institution of higher learning is permissible;

(10) through the use of or in conjunction with a third party organization that promotes the welfare of or assists members of the United States armed forces, solicits the purchase of a life insurance product in a manner that has the tendency or capacity to confuse or mislead a service member to believe that the insurer, insurance producer, or insurance product offered is affiliated, connected, or associated with, or endorsed, sponsored, sanctioned, or recommended by the United States government or the United States armed forces;

(11) uses or describes the credited interest rate on a life insurance policy in a manner that implies that the credited interest rate is a net return on premium paid;

(12) except for individually issued annuities, misrepresents the mortality costs of a life insurance product, including stating or implying that the product is free;

(13) makes a representation that is false, misleading, or deceptive regarding the availability, suitability, amount, or cost of, or exclusions or limitations to coverage provided to a service member or a service member's dependents by Servicemembers' Group Life Insurance or Veterans' Group Life Insurance;

(14) makes a representation that is false, misleading, or deceptive regarding conversion requirements, including the costs of coverage or exclusions or limitations to coverage, of Servicemembers' Group Life Insurance or Veterans' Group Life Insurance;

(15) suggests, recommends, or encourages a service member to cancel or terminate the service member's Servicemembers' Group Life Insurance policy or issues a life insurance policy that replaces an existing Servicemembers' Group Life Insurance policy unless the replacement policy will take effect on or after the service member's separation from the United States armed forces;

(16) deploys, uses, or contracts for lead-generating materials that are designed exclusively for use with service members, and that do not clearly and conspicuously disclose, if true, that the recipient will be contacted by an insurance producer for the purpose of soliciting the purchase of life insurance;

(17) when establishing a specific appointment for an in-person, face-to-face meeting with a prospective purchaser, fails to disclose that a solicitation for the sale of life insurance will be made;

(18) except for individually issued annuities, fails to clearly and conspicuously disclose that the product being sold is life insurance;

(19) fails to make, at the time of sale or offer to an individual known to be a service member, the written disclosures required by sec. 10, P.L. 109-290 (Military Personnel Financial Services Protection Act);

(20) except for individually issued annuities, when the sale is conducted in-person, face-to-face with an individual known to be a service member, at the time the application is taken, fails to provide the service member

(A) an explanation of a free look period with instructions on how to cancel if a policy is issued; and

(B) either a copy of the application or a written disclosure that clearly and concisely describes the type of life insurance, the death benefit applied for, and its expected first year cost; a basic illustration that complies with the requirements of 3 AAC 28.820 meets the requirement for a written disclosure in this subparagraph;

(21) except for individually issued annuities, recommends the purchase of a life insurance product that includes a side fund to a service member in a pay grade of E-4 or below unless the insurer has reasonable grounds to believe that the life insurance death benefit, on its own, is suitable;

(22) offers for sale or sells a life insurance product that includes a side fund to a service member in a pay grade of E-4 or below who is currently enrolled in Servicemembers' Group Life Insurance, unless, after the completion of a needs assessment, the insurer or insurance producer demonstrates that the service member's Servicemembers' Group Life Insurance death benefit, together with other military survivor benefits, savings, investments, survivor income, and other life insurance are insufficient to meet the service member's insurable needs for life insurance; for purposes of this paragraph,

(A) "insurable needs" are the risks associated with premature death, taking into consideration the financial obligations and immediate and future cash needs of the service member's estate, survivors, and dependents; and

(B) "other military survivor benefits" include

(i) a death gratuity under 10 U.S.C. 1475;

(ii) funeral reimbursement under 10 U.S.C. 1482 or 38 U.S.C. 2301 - 2308;

(iii) transition assistance;
(iv) survivor and dependents' educational assistance under 38 U.S.C. 3500 - 3566;
(v) dependency and indemnity compensation under 38 U.S.C. 1301 - 1323;
(vi) TRICARE health care benefits under 10 U.S.C. 1071 - 1110 for survivors;
(vii) survivor housing benefits and allowances;
(viii) federal income tax forgiveness; and
(ix) social security survivor benefits under 42 U.S.C. 401 - 434;

(23) except for individually issued annuities, offers for sale or sells a life insurance contract that includes a side fund

(A) unless interest credited accrues from the date of deposit to the date of withdrawal and permits withdrawals without limit or penalty;

(B) unless the insurer or insurance producer provides the service member a schedule of effective rates of return, based upon cash flows of the combined product in which the effective rate of return includes all premiums and cash contributions made by the policyholder and all cash accumulations and cash surrender value available to the policyholder in addition to life insurance coverage; the insurer or insurance producer must provide a schedule for each year of the first 10 policy years and every fifth policy year thereafter ending at age 100, policy maturity, or final expiration, whichever occurs last; and

(C) that, by default, diverts or transfers money accumulated in the side fund to pay, reduce, or offset any premium due;

(24) except for individually issued annuities, offers for sale or sells a life insurance contract that, after considering all policy benefits, including endowment, and return of premium, does not comply with AS 21.45.300 (standard nonforfeiture law for life insurance);

(25) sells, to an individual known to be a service member, a life insurance product that excludes coverage if the insured's death is related to declared or undeclared war or an act related to military service, except for accidental death coverage.

3 AAC 26.449. Definitions.

In 3 AAC 26.430 - 3 AAC 26.449, unless the context requires otherwise,

(1) "active duty" means full-time duty in the active military service of the United States and includes members of the reserve component while serving under published orders for active duty or full-time training; "active duty" does not include members of the reserve component who are performing active duty or active duty for training under military calls or orders specifying periods of fewer than 31 calendar days;

(2) "United States Department of Defense personnel" means all active duty service members and all civilian employees, including non-appropriated fund employees and special government employees, of the United States Department of Defense;

(3) "door-to-door" means a solicitation or sales method in which an insurer or insurance producer proceeds randomly or selectively from household to household without a prior specific appointment;

(4) "general advertisement" means an advertisement having as its sole purpose the promotion of the reader's or viewer's interest in the concept of insurance, or the promotion of the insurer or insurance producer;

(5) "known" or "knowingly" means that the insurer or insurance producer had actual awareness, or in the exercise of ordinary care should have been aware at the time of the act or practice that the person solicited was

(A) a service member; or
(B) a service member in a pay grade of E-4 or below;

(6) "life insurance" has the meaning given in AS 21.12.040 and, unless specifically excluded, includes an annuity as defined in AS 21.12.055 that is individually issued;

(7) "military installation" means a federally owned, leased, or operated base, reservation, post, camp, building, or other facility to which service members are assigned for duty; "military installation" includes barracks, transient housing, and family quarters;

(8) "MyPay" means the Defense Finance and Accounting Service Internet-based system that enables service members to process certain discretionary pay transactions or provide updates to personal information data elements without using paper forms;

(9) "service member" means

(A) an active duty commissioned or warrant officer of the United States armed forces; or
(B) an active duty enlisted member of the United States armed forces;

(10) "service member in a pay grade of E-4 or below" means

(A) for the Air Force, a rank of senior airman or lower enlisted rank;
(B) for the Army, a rank of corporal or specialist or lower enlisted rank;
(C) for the Marines, a rank of corporal or lower enlisted rank; and
(D) for the Navy and Coast Guard, a rank of petty officer third class or lower enlisted rank;

(11) "Servicemembers' Group Life Insurance" means the group life insurance authorized under 38 U.S.C. 1965 - 1980A for service members;

(12) "side fund" means a fund or reserve that is part of or otherwise attached to a life insurance policy by a rider, endorsement, or other mechanism that accumulates premium or deposits with interest or by other means; "side fund" does not include

(A) a fund or reserve within the meaning given in this paragraph but part of or otherwise attached to an individually issued annuity;

(B) accumulated value, cash value, or secondary guarantees provided by a universal life policy;

(C) cash values provided by a whole life policy that are subject to AS 21.45.300 (standard nonforfeiture law for life insurance); or

(D) a premium deposit fund that

(i) contains only premiums paid in advance that accumulate at interest;
(ii) does not impose a penalty for withdrawal;
(iii) does not permit funding beyond future required premiums;
(iv) is not marketed or intended as an investment; and
(v) does not carry a paid or calculated commission;

(13) "specific appointment" means a prearranged appointment agreed upon by both parties and definite as to place and time;

(14) "United States armed forces" means all components of the United States Army, Navy, Air Force, Marine Corps, and Coast Guard;

(15) "Veterans' Group Life Insurance" means the group life insurance authorized under 38 U.S.C. 1965 - 1980A for veterans.

Article 4
Coverage for Attorney Fees Taxable as Costs Against an Insured According to Alaska Rule of Civil Procedure 82

3 AAC 26.500. Minimum standards.
Minimum acceptable standards for limitation of coverage for attorney fees taxable against an insured under Alaska Rule of Civil Procedure 82 and disclosure are established under 3 AAC 26.510 - 3 AAC 26.559 for all policies written on risks in this state or relative to a subject resident, located or to be performed in this state.

3 AAC 26.510. Policy with a right or duty to defend.
A policy under which an insurer has a right or duty to provide a defense for an insured for liability for which the policy provides coverage must provide coverage for the payment of attorney fees taxable as costs against the insured under Alaska Rule of Civil Procedure 82,

(1) except as provided in 3 AAC 26.525 and 3 AAC 26.535; and

(2) subject to the following minimum limits:

(A) as an additional amount of coverage, a policy that provides a defense in addition to an applicable limit of liability must provide for payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82 that is not less than the amount calculated by applying the schedule for contested cases in Alaska Rule of Civil Procedure 82(b)(1) to the limit of liability of the applicable coverage;

(B) as an additional amount of coverage, a policy that provides a defense within an applicable limit of liability less than $1,000,000 must provide for payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82 that is not less than the greater of

(i) the amount calculated by applying the schedule for contested cases in Alaska Rule of Civil Procedure 82(b)(1) to the limit of liability of the applicable coverage; or

(ii) $10,000;

(C) a policy that provides a defense within an applicable limit of liability of $1,000,000 or more may include within its applicable limit of liability coverage for attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82.

3 AAC 26.520. Policy with no right or duty to defend.
(a) A policy under which an insurer has neither a right nor a duty to provide a defense but agrees to indemnify an insured for the costs of defense for liability for which the policy also provides coverage must provide coverage to indemnify an insured for the payment of attorney fees taxed as costs against the insured under Alaska Rule of Civil Procedure 82,

(1) except as provided in 3 AAC 26.525 and 3 AAC 26.535; and

(2) subject to the following minimum limits:

(A) as an additional amount of coverage, a policy that indemnifies an insured for the costs of defense in addition to an applicable limit of liability must provide for payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82 that is not less than the amount calculated by applying the schedule for contested cases in Alaska Rule of Civil Procedure 82(b)(1) to the limit of liability of the applicable coverage;

(B) as an additional amount of coverage, a policy that indemnifies an insured for the costs of defense within an applicable limit of liability less than $1,000,000 must provide for payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82 that is not less than the greater of

(i) an amount calculated by applying the schedule for contested cases in Alaska Rule of Civil Procedure 82(b)(1) to the limit of liability of the applicable coverage; or

(ii) $10,000;

(C) a policy that indemnifies an insured for the costs of defense within an applicable limit of liability of $1,000,000 or more may include within its applicable limit of liability coverage for attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82.

(b) A policy under which an insurer has neither a right nor duty to provide and has not agreed to indemnify the insured for the costs of defense against a liability for which the policy also provides coverage is not required to provide coverage for the payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82, except as required in 3 AAC 26.535.

3 AAC 26.525. Defense-only coverage.
A policy providing defense-only coverage is not required to provide coverage for the payment of attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82.

3 AAC 26.530. Policy with no defense cost obligation.
Repealed.

3 AAC 26.535. Cost sharing provisions.
(a) A cost-sharing provision that affects the amount of coverage for defense costs may be extended to apply specifically to coverage for attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82. A cost-sharing provision may not apply specifically to coverage for attorney fees awarded as costs against an insured under Alaska Rule of Civil Procedure 82 unless the application is at least as favorable with respect to that coverage as it is with respect to defense costs coverage in general.
(b) For purposes of this section,

(1) a cost-sharing provision is

(A) a policy provision relating to a deductible;

(B) a policy provision relating to policyholder retention;

(C) a policy provision relating to a policyholder loss reimbursement obligation; or

(D) another policy provision for the sharing of costs between the policyholder and insurer;

(2) a provision that limits coverage for defense costs to a specific dollar or percentage amount is a provision relating to sharing of defense costs between the policyholder and insurer, except for a provision that

(A) makes coverage for defense costs subject to an applicable limit of liability; or

(B) applies to defense-only coverage;

(3) a policy provision that establishes an insurer's right to participate in the defense of its insured at its own cost is a provision relating to the sharing of defense costs between the policyholder and insurer; and

(4) a provision is at least as favorable with respect to coverage for attorney fees, awarded as costs against an insured under Alaska Rule of Civil Procedure 82, as the provision is with respect to defense costs coverage in general if the proportion of attorney fees, awarded as costs against an insured under Alaska Rule of Civil Procedure 82 and covered after application of the limitation allowed under (a) of this section, to the minimum amount of coverage for the attorney fees that would be required by 3 AAC 26.510 and 3 AAC 26.520 if no limitation existed, is at least as great as the proportion of those defense costs, that are either covered by the policy or incurred by the insurer through its participating in or providing a defense, after application of a limitation allowed under (a) of this section, to the total incurred defense costs.

3 AAC 26.540. No additional premium charge for minimum coverage.
An insurer may not charge a separate premium for the minimum coverage required under 3 AAC 26.510 or 3 AAC 26.520. An insurer may charge a separate premium for coverage in excess of the minimum required. An admitted insurer shall secure from the director prior approval for premiums charged as required under AS 21.39.040.

3 AAC 26.550. Required notice.
(a) A policy issued by an insurer that limits coverage as permitted under 3 AAC 26.510 - 3 AAC 26.535 must include a policyholder notice regarding Alaska Rule of Civil Procedure 82.
(b) The notice required by (a) of this section must
(1) conform with the division's
(A) Attorney Fees Coverage Notice A, dated March 29, 1996, and hereby adopted by reference, for a policy with a right or duty to defend in addition to an applicable limit of liability;
(B) Attorney Fees Coverage Notice B, dated March 29, 1996, and hereby adopted by reference, for a policy with a right or duty to defend within an applicable limit of liability;
(C) Attorney Fees Coverage Notice C, dated March 29, 1996, and hereby adopted by reference, for an indemnity policy that covers defense costs within an applicable limit of liability;
(D) Attorney Fees Coverage Notice D, dated March 29, 1996, and hereby adopted by reference, for a policy with no defense cost obligations;
(E) Attorney Fees Coverage Notice E, dated August 14, 2020, and hereby adopted by reference, for an indemnity policy that covers defense costs in addition to an applicable limit of liability; or
(F) Attorney Fees Coverage Notice F, dated August 14, 2020, and hereby adopted by reference, for a policy providing defense-only coverage; or
(2) be approved in writing by the director upon a determination that the proposed notice
(A) is substantially equivalent to the division's Attorney Fees Coverage Notice A, B, C, D, E, or F; or
(B) provides notice similar in detail and format to the division's Attorney Fees Coverage Notices, but with terms related to the coverage for attorney fees taxable as costs against the insured under Alaska Rule of Civil Procedure 82 that
(i) reflect the application of cost-sharing provisions permitted under 3 AAC 26.535; or
(ii) are more favorable than the terms described in the division's notices.

3 AAC 26.559. Definition.
In 3 AAC 26.500 - 3 AAC 26.559, "defense-only coverage" means liability insurance covering defense costs but not settlements or indemnity payments related to events that give rise to the covered defense costs.

Article 5
Privacy of Consumer Financial and Health Information

3 AAC 26.605. Purpose, applicability, and scope.
(a) The purpose of 3 AAC 26.610 - 3 AAC 26.749 is to protect the public by providing standards for the treatment by licensees of nonpublic personal information.
(b) The provisions of 3 AAC 26.610 - 3 AAC 26.675 apply only to nonpublic personal financial information.
(c) The provisions of 3 AAC 26.680 and 3 AAC 26.685 apply only to nonpublic personal health information.
(d) The provisions of 3 AAC 26.605 and 3 AAC 26.690 - 3 AAC 26.749 apply to both nonpublic personal financial and nonpublic personal health information.

3 AAC 26.610. Initial privacy notice to consumers.
(a) A licensee shall provide a clear and conspicuous notice that accurately reflects the licensee's privacy policies and practices to a
(1) customer not later than when the licensee establishes a customer relationship, except as provided in (d) of this section; and
(2) consumer before the licensee discloses nonpublic personal financial information about the consumer to a nonaffiliated third party, unless the disclosure is authorized under 3 AAC 26.665 and 3 AAC 26.670.
(b) A licensee is not required to provide an initial notice to a consumer under (a) of this section if the
(1) licensee does not disclose nonpublic personal financial information about the consumer to a nonaffiliated third party except as authorized under 3 AAC 26.665 and 3 AAC 26.670 and the licensee does not have a customer relationship with the consumer; or
(2) initial notice is provided under (a) of this section by an affiliate that is a licensee, and the notice
(A) identifies each licensee to whom the notice applies; and
(B) accurately states the privacy policies and practices of each licensee.
(c) If an existing customer seeks to obtain or obtains a new insurance product or service that is to be used primarily for personal, family, or household purposes from a licensee, the licensee meets the requirements of (a) of this section if the
(1) licensee provides a revised policy notice in compliance with 3 AAC 26.630 covering the new insurance product or service; or
(2) most recent notice given to the customer by the licensee is accurate with respect to the new insurance product or service.
(d) A licensee may provide the initial notice under (a)(1) of this section within a reasonable time after the licensee establishes a customer relationship if
(1) establishing the customer relationship is not at the customer's election, including when a licensee acquires or is assigned a customer's policy from another financial institution or residual market mechanism and the customer does not have a choice about the acquisition or assignment; or
(2) providing the notice not later than when the licensee establishes a customer relationship as required under (a)(1) of this section would substantially delay the customer's transaction and the customer agrees to receive the notice at a later time.

3 AAC 26.615. Annual privacy notice to customers.

(a) At least once in each 12 consecutive month period in which a customer relationship exists, a licensee shall provide clear and conspicuous notice to each customer that accurately reflects the licensee's privacy policies and practices.

(b) A licensee is not required to provide an annual notice to an individual who is no longer a customer.

(c) A licensee that provides nonpublic personal information to nonaffiliated third parties only in accordance with 3 AAC 26.660 - 3 AAC 26.670, and that has not changed its policies and practices with regard to disclosing nonpublic personal information from the policies and practices that were disclosed in the most recent disclosure sent to consumers in accordance with this section or 3 AAC 26.610, is not required to provide an annual disclosure under this section until the time when the licensee fails to comply with the criteria described in this subsection.

3 AAC 26.620. Information included in privacy notices.

(a) In a privacy notice required under 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630, a licensee shall include the following:

(1) the categories of nonpublic personal financial information that the licensee collects;

(2) the categories of nonpublic personal financial information that the licensee discloses;

(3) except for persons to whom the licensee discloses information as allowed under 3 AAC 26.665 and 3 AAC 26.670, the categories of affiliates and nonaffiliated third parties to which the licensee discloses a consumer's nonpublic personal financial information;

(4) except for persons to whom the licensee discloses information as allowed under 3 AAC 26.665 and 3 AAC 26.670, the categories of nonpublic personal financial information that the licensee discloses about a consumer who is no longer a customer of the licensee;

(5) except for persons to whom the licensee discloses information as allowed under 3 AAC 26.665 and 3 AAC 26.670, the categories of affiliates and nonaffiliated third parties to whom the licensee discloses nonpublic personal financial information about a consumer who is no longer a customer of the licensee;

(6) if the licensee discloses nonpublic personal financial information to a nonaffiliated third party under 3 AAC 26.660 and an exception in 3 AAC 26.665 or 3 AAC 26.670 does not apply to the disclosure, a separate description of the categories of information that the licensee discloses and the categories of nonaffiliated third parties with whom the licensee has contracted;

(7) an explanation of the consumer's right under 3 AAC 26.645 to opt out of the disclosure of nonpublic personal financial information to nonaffiliated third parties, including the methods by which the consumer may opt out;

(8) a disclosure that the licensee makes under 15 U.S.C. 1681a(d)(2)(A)(iii) (Fair Credit Reporting Act) regarding the ability of a consumer to opt out of disclosures of information among affiliates;

(9) a description of the licensee's policies and practices regarding the protection of the confidentiality and security of nonpublic personal financial information;

(10) a disclosure that the licensee makes under (b) of this section.

(b) If a licensee discloses nonpublic personal financial information as allowed under 3 AAC 26.665 or 3 AAC 26.670, the licensee

(1) is not required to list the persons subject to the exceptions in a notice required under 3 AAC 26.610 or 3 AAC 26.615; and

(2) shall state in a notice required under 3 AAC 26.610 or 3 AAC 26.615 that the licensee makes disclosures to other affiliates or nonaffiliated third parties as allowed by law.

(c) A licensee meets the requirements of 3 AAC 26.610(a)(2) and 3 AAC 26.625(d) for a consumer who is not a customer if the

(1) licensee prepares a privacy notice containing the information required in (a) of this section;

(2) licensee, upon the consumer's request, provides the privacy notice to the consumer;

(3) consumer may obtain a copy of the privacy notice by at least one of the following means:

(A) calling a toll-free number provided by the licensee;

(B) sending a written request to a mailing address provided by the licensee;

(C) making an in-person request at the licensee's office for immediate provision of a copy;

(D) another means that the director determines to be a reasonable means for the consumer to obtain a copy; and

(4) licensee provides, at the same time that the opt out notice required under 3 AAC 26.625 is provided, a short-form initial notice to the consumer that

(A) is clear and conspicuous;

(B) states that the licensee's privacy notice is available upon request; and

(C) explains how the consumer may obtain the privacy notice.

(d) A licensee may include in the notices required under 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630 the following:

(1) the categories of nonpublic personal financial information that the licensee does not currently disclose, and that the licensee reserves the right to disclose in the future;

(2) the categories of affiliates or nonaffiliated third parties to whom the licensee does not currently disclose nonpublic personal financial information, but to whom the licensee may disclose nonpublic personal financial information in the future;

(3) other information that applies to the licensee and to the consumer.

(e) A licensee, including a group of financial holding company affiliates that use a common privacy notice, may use the following sample statements to comply with the applicable requirements of this section regarding content of privacy notices, if each statement used is accurate for each institution that uses the notice:

(1) categories of information a licensee collects (all institutions): a licensee may use the following statement to meet the requirement of 3 AAC 26.620(a)(1) to describe the categories of nonpublic personal financial information the licensee collects:

We collect nonpublic personal financial information about you from the following sources:

* Information we receive from you on applications or other forms;

* Information about your transactions with us, our affiliates, or any others; and

* Information we receive from a consumer-reporting agency.

(2) categories of information a licensee discloses (institutions that disclose outside of the exceptions): a licensee may use one of the following statements, if applicable, to meet the requirement of 3 AAC 26.620(a)(2) to describe the categories of nonpublic personal financial information the licensee discloses; a licensee may use the following statements if the licensee discloses nonpublic personal financial information other than as allowed by the exceptions in 3 AAC 26.660 - 3 AAC 26.670:

Alternative 1:

We may disclose the following kinds of nonpublic personal financial information about you:
* Information we receive from you on applications or other forms, such as [provide illustrative examples, such as "your name, address, social security number, assets, income, and beneficiaries"];
* Information about your transactions with us, our affiliates, or any others, such as [provide illustrative examples, such as "your policy coverage, premiums, and payment history"]; and
* Information we receive from a consumer-reporting agency, such as [provide illustrative examples, such as "your creditworthiness and credit history"].
Alternative 2:
We may disclose all of the information that we collect, as described [describe location in the notice, such as "above" or "below"].

(3) categories of information a licensee discloses and persons to whom the licensee discloses (institutions that do not disclose outside of the exceptions): a licensee may use the following statement to meet the requirements of 3 AAC 26.620(a)(2), (3), (4), and (5) to describe the categories of nonpublic personal financial information about customers and former customers that the licensee discloses and the categories of affiliates and nonaffiliated third parties to whom the licensee discloses; a licensee may use the following statement if the licensee does not disclose nonpublic personal financial information to any person, other than as allowed by the exceptions in 3 AAC 26.665 and 3 AAC 26.670:
We do not disclose any nonpublic personal financial information about our customers or former customers to anyone, except as allowed by law.

(4) categories of parties to whom a licensee discloses (institutions that disclose outside of the exceptions): a licensee may use the following statement to meet the requirement of 3 AAC 26.620(a)(3) to describe the categories of affiliates and nonaffiliated third parties to whom the licensee discloses nonpublic personal financial information; the following statement may be used if the licensee discloses nonpublic personal financial information other than as allowed by the exceptions in 3 AAC 26.660 - 3 AAC 26.670, as well as when allowed by the exceptions in 3 AAC 26.665 and 3 AAC 26.670:
We may disclose nonpublic personal financial information about you to the following types of third parties:
* Financial service providers, such as [provide illustrative examples, such as "life insurers, automobile insurers, mortgage bankers, securities broker-dealers, and insurance agents"];
* Non-financial companies, such as [provide illustrative examples, such as "retailers, direct marketers, airlines, and publishers"]; and
* Others, such as [provide illustrative examples, such as "non-profit organizations"].
We may also disclose nonpublic personal financial information about you to nonaffiliated third parties as allowed by law.

(5) service provider/joint marketing exception: a licensee may use one of the following statements to meet the requirements of 3 AAC 26.620(a)(6) related to the exception in 3 AAC 26.660 for provision of nonpublic personal financial information to a nonaffiliated third party to act as a service provider or to perform joint marketing services; if a licensee discloses nonpublic personal financial information under the exception in 3 AAC 26.660, the licensee shall describe the categories of nonpublic personal financial information the licensee discloses and the categories of third parties with which the licensee has contracted:
Alternative 1:
We may disclose the following information to companies that perform marketing services on our behalf or to other financial institutions with which we have joint marketing agreements:
* Information we receive from you on applications or other forms, such as [provide illustrative examples, such as "your name, address, social security number, assets, income, and beneficiaries"];
* Information about your transactions with us, our affiliates, or any others, such as [provide illustrative examples, such as "your policy coverage, premium, and payment history"]; and
* Information we receive from a consumer-reporting agency, such as [provide illustrative examples, such as "your creditworthiness and credit history"].
Alternative 2:
We may disclose all of the information we collect, as described [describe location in the notice, such as "above" or "below"] to companies that perform marketing services on our behalf or to other financial institutions with which we have joint marketing agreements.

(6) explanation of opt out right (institutions that disclose outside of the exceptions): a licensee may use the following statement to meet the requirement of 3 AAC 26.620(a)(7) to provide an explanation of the consumer's right to opt out of the disclosure of nonpublic personal financial information to nonaffiliated third parties, including the method by which the consumer may exercise that right; the licensee may use this statement if the licensee discloses nonpublic personal financial information other than as allowed under 3 AAC 26.660 - 3 AAC 26.670:
If you prefer that we not disclose nonpublic personal financial information about you to nonaffiliated third parties, you may opt out of those disclosures, that is, you may direct us not to make those disclosures, other than disclosures allowed by law. If you wish to opt out of disclosures to nonaffiliated third parties, you may [describe a reasonable means of opting out, such as "call the following toll-free number: (insert number)"].

(7) confidentiality and security (all institutions): a licensee may use the following statement to meet the requirement of 3 AAC 26.620(a)(9) to describe the licensee's policies and practices with respect to protecting the confidentiality and security of nonpublic personal financial information:
We restrict access to nonpublic personal financial information about you to [provide an appropriate description, such as "those employees who need to know that information to provide products or services to you"]. We maintain physical, electronic, and procedural safeguards that comply with federal regulations to guard your nonpublic personal financial information.

3 AAC 26.625. Opt out notices and methods.

(a) If a licensee is required to provide an opt out notice under 3 AAC 26.645, the licensee shall provide to each of the licensee's consumers a clear and conspicuous opt out notice that accurately explains the consumer's right to opt out under 3 AAC 26.645.
(b) The opt out notice required in (a) of this section must state

(1) that the licensee discloses or reserves the right to disclose nonpublic personal financial information about a consumer to a nonaffiliated third party;

(2) that the consumer has the right to opt out of disclosure; and

(3) the means provided under 3 AAC 26.645(a)(3) for a consumer to opt out.

(c) A licensee may provide the opt out notice required under 3 AAC 26.645 at the same time and in the same written or electronic form as the initial notice required under 3 AAC 26.610 is provided.
(d) If a licensee provides an opt out notice to a consumer after the initial notice required under 3 AAC 26.610 is provided,

the licensee shall provide the consumer the opt out notice and a copy of the initial notice

(1) in writing; or

(2) electronically, if the consumer agrees to receive that information electronically.

(e) If two or more consumers jointly obtain an insurance product or service from a licensee,

(1) the licensee may provide a single opt out notice;

(2) the licensee shall provide an explanation in the opt out notice of how the licensee will treat a direction by a consumer to opt out;

(3) each consumer may individually opt out either by

(A) one consumer opting out as applying to all of the consumers who jointly obtain an insurance product or service from the licensee; or

(B) each consumer opting out as applying only to that consumer; and

(4) a licensee may not require all consumers to opt out before the licensee implements a direction by one consumer to opt out.

(f) If a consumer opts out, the licensee shall comply with the opt out direction as soon as reasonably practicable after the licensee receives the opt out direction from the consumer.

(g) A consumer may opt out of disclosure at any time.

(h) A consumer's opt out direction continues in effect unless revoked by the consumer

(1) in writing; or

(2) electronically, if the consumer agrees to receive information electronically.

(i) When a customer relationship terminates, the customer's opt out direction remains in effect for all nonpublic personal financial information that the licensee collected during or related to that customer relationship. The customer's former opt out direction does not apply to a new customer relationship established after termination of the previous customer relationship.

3 AAC 26.630. Revised privacy notice.

Except as otherwise allowed under 3 AAC 26.605 - 3 AAC 26.749, a licensee may not directly or through an affiliate disclose nonpublic personal financial information about a consumer to a nonaffiliated third party other than as described in the initial notice provided to the consumer under 3 AAC 26.610 unless the consumer does not opt out after the licensee has provided the consumer a

(1) clear and conspicuous revised notice that accurately describes the licensee's privacy policies and practices;

(2) new opt out notice that complies with 3 AAC 26.625; and

(3) reasonable opportunity under 3 AAC 26.645(a)(3) to opt out before disclosing information to a nonaffiliated third party.

3 AAC 26.635. Privacy notices to group policyholders.

(a) Unless a licensee provides the privacy notices required under 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630 directly to an individual described in 3 AAC 26.715(d), the licensee shall provide the privacy notices to the plan sponsor, group or blanket insurance policyholder, group annuity contract holder, or workers' compensation policyholder in the manner described in 3 AAC 26.610 - 3 AAC 26.630.

(b) The privacy notice provided under (a) of this section must describe the licensee's privacy practices with respect to nonpublic personal financial information about individuals covered under the policies, contracts, or plans.

3 AAC 26.640. Provision of privacy notices.

(a) A licensee shall provide a notice required under 3 AAC 26.610 - 3 AAC 26.749 to a consumer in a manner that is reasonably expected to result in receipt of the notice by the consumer.

(b) For annual notices, a licensee may comply with the requirements of (a) of this section by

(1) making the licensee's current privacy notice available to the customer upon request, if a customer has directed the licensee to refrain from sending the customer information regarding the customer relationship; or

(2) continuously posting the licensee's current privacy notice in a clear and conspicuous manner on the licensee's web site, if the customer uses the licensee's web site to access insurance products or services and the customer has agreed to receive notices on the web site.

(c) A licensee does not meet the requirements of (a) of this section by orally explaining the notice.

(d) A licensee shall provide notices required under 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630 in a manner that allows the customer to retain the notice or to obtain a written notice in the future, and that may include

(1) hand-delivering a printed copy of the notice to the consumer;

(2) mailing a printed copy of the notice to the last known address of the customer; or

(3) for a customer who obtains an insurance product or service electronically and agrees to receive notice on the licensee's web site, continuously publishing the licensee's current privacy notice on the web site.

(e) A licensee may provide a joint privacy notice from the licensee from any of the licensee's affiliates identified in the notice, and from any other financial institutions identified in the notice, if the notice accurately reflects the privacy policies and practices of the licensee, the licensee's affiliates, and the other financial institutions.

(f) A licensee may provide a notice on behalf of another financial institution.

(g) If two or more consumers jointly obtain an insurance product or service from a licensee, the licensee may comply with the notice requirements in 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630 by providing a single notice to the consumers.

3 AAC 26.645. Limitation on disclosure of nonpublic personal financial information.

(a) Except as allowed under 3 AAC 26.605 - 3 AAC 26.749, a licensee may not directly or through an affiliate disclose to a nonaffiliated third party nonpublic personal financial information unless the consumer does not opt out after the licensee has provided the consumer

(1) the initial notice required under 3 AAC 26.610;

(2) the opt out notice required under 3 AAC 26.625; and

(3) a reasonable opportunity to opt out by a means that may include the following:

(A) mailing the notices to the consumer and allowing the consumer to opt out by mailing a form, calling a toll-free telephone number, or other reasonable means within 45 days after the date the licensee mailed the notices;

(B) if a customer opens an online account with the licensee and agrees to receive the notices electronically, allowing the customer to opt out by any reasonable means within 30 days after the date the customer acknowledges receipt of the notices sent in conjunction with opening the account;

(C) for an isolated transaction with a consumer, by providing the notices at the time of the transaction and requesting that the consumer decide whether to opt out before completing the transaction.

(b) A licensee may allow a consumer to opt out of disclosure

(1) of certain nonpublic personal financial information; or
(2) to certain nonaffiliated third parties.

3 AAC 26.650. Limitation on redisclosure and reuse of nonpublic personal financial information.
(a) If a licensee receives, under an exception in 3 AAC 26.665 or 3 AAC 26.670, nonpublic personal financial information from a financial institution that is not an affiliate, the licensee may only disclose or use the information by
(1) disclosing the information to the affiliates of the nonaffiliated third party from which the licensee received the information;
(2) disclosing the information to the licensee's affiliates only if the affiliates agree to disclose and use the information only to the extent that the licensee may disclose and use the information; or
(3) disclosing and using the information under an exception in 3 AAC 26.665 or 3 AAC 26.670 in the ordinary course of business to carry out the activity for which the licensee received the information.
(b) If a licensee receives, other than under an exception in 3 AAC 26.665 or 3 AAC 26.670, nonpublic personal financial information from a financial institution that is not an affiliate, the licensee may disclose the information only
(1) to an affiliate of the nonaffiliated financial institution;
(2) to an affiliate of the licensee if the affiliate agrees to disclose the information only to the extent that the licensee is allowed by law to disclose the information; or
(3) to any other person, if the disclosure is allowed by law when made directly to the person by the nonaffiliated financial institution.
(c) If a licensee discloses nonpublic personal financial information to a nonaffiliated third party under an exception in 3 AAC 26.665 or 3 AAC 26.670, the nonaffiliated third party may disclose and use the information only by
(1) disclosing the information to the licensee's affiliates;
(2) disclosing the information to the nonaffiliated third party's affiliates but only if those affiliates agree to disclose and use the information only to the extent that the nonaffiliated third party may disclose and use the information; and
(3) using the information under an exception in 3 AAC 26.665 or 3 AAC 26.670 in the ordinary course of business to carry out the purpose for which the nonaffiliated third party received the information.
(d) If a licensee discloses nonpublic personal financial information to a nonaffiliated third party other than under an exception in 3 AAC 26.665 or 3 AAC 26.670, the nonaffiliated third party may disclose the information only
(1) to an affiliate of the licensee;
(2) to an affiliate of the nonaffiliated third party, if the affiliate agrees to disclose the information only to the extent that the nonaffiliated third party is allowed by law to disclose the information; or
(3) to any other person, if the disclosure is allowed by law when made directly to the person by the nonaffiliated third party.

3 AAC 26.655. Limitation on sharing account number information for marketing purposes.
(a) Except as provided in (b) of this section, a licensee may not disclose directly or through an affiliate a policy number or similar form of access number or access code for a consumer's policy or transaction account to a nonaffiliated third party for use in marketing by telephone or facsimile transmission, direct mail marketing, or electronic mail marketing to a consumer.
(b) A licensee may disclose a policy number or similar form of access number or access code for a consumer's policy or transaction account to a
(1) consumer-reporting agency;
(2) licensee's service provider for the sole purpose of marketing the licensee's own products or services only if the service provider is not authorized to directly initiate charges to the account;
(3) licensee who is an insurance producer for the sole purpose of marketing the licensee's own products or services; or
(4) participant in an affinity program or similar program if the participants in the program are identified to the customer at the time the customer enters into the program.
(c) For purposes of this section, a policy number or similar form of access number or access code for a consumer's policy or transaction account does not include a number or code that is in an encrypted form, unless the licensee provides the recipient with a means to decode the number or code.
(d) In this section, "consumer's policy or transaction account"
(1) means an account other than a deposit account or a credit card account; and
(2) does not include an account to which a third party cannot initiate charges.

3 AAC 26.660. Exceptions to notice and opt out requirements for service providers and joint marketing.
(a) A licensee is not subject to the requirements in 3 AAC 26.625 and 3 AAC 26.645 if the licensee provides nonpublic personal financial information to a nonaffiliated third party to act as a service provider or to perform joint marketing services for the licensee or on behalf of the licensee, if the licensee
(1) has provided the initial notice as required under 3 AAC 26.610; and
(2) enters into a contractual agreement with the nonaffiliated third party that prohibits the nonaffiliated third party from disclosing or using the information, including using the information under an exception in 3 AAC 26.665 or 3 AAC 26.670, other than to carry out the purpose for which the licensee disclosed the information.
(b) In this section,
(1) "joint marketing services" means marketing the licensee's own products or services or marketing financial products or services offered under a joint agreement;
(2) "joint agreement" means a written contract under which a licensee and one or more financial institutions offer, endorse, or sponsor a financial product or service.

3 AAC 26.665. Exceptions to notice and opt out requirements for disclosure of nonpublic personal financial information for processing and servicing transactions.
(a) A licensee is not subject to the requirements for initial notice in 3 AAC 26.610(a)(2), the opt out requirements in 3 AAC 26.625 and 3 AAC 26.645, or the requirements in 3 AAC 26.660 if the licensee discloses nonpublic personal financial information to a nonaffiliated third party and the information is
(1) necessary to effect, administer, or enforce a transaction that a consumer requests or authorizes; or
(2) used in connection with
(A) servicing or processing an insurance product or service that a consumer requests or authorizes;
(B) maintaining or servicing a consumer's account with the licensee or with another entity as part of a private label credit card program or other extension of credit on behalf of the entity;
(C) a proposed or actual securitization, secondary market sale including the sale of servicing rights, or similar

transaction related to a transaction of a consumer;

(D) reinsurance, stop-loss insurance, or excess loss insurance; or

(E) soliciting insurance quotes on behalf of a consumer from an insurance producer.

(b) For purposes of this section, a disclosure of information is necessary to effect, administer, or enforce a transaction if the disclosure is

(1) required in order to enforce a licensee's rights or the rights of another person engaged in carrying out the financial transaction or providing the product or service;

(2) required in order to

(A) carry out a transaction or service business of which the transaction is a part, and to record, service, or maintain the consumer's account in the ordinary course of providing an insurance product or service;

(B) administer or service benefits or claims relating to a transaction or a product or service business of which the transaction is a part;

(C) provide a confirmation, statement, or other record of a transaction or information on the status or value of an insurance product or service to the consumer or the consumer's insurance producer;

(D) accrue or recognize incentives or bonuses associated with the transaction that are provided by a licensee or other person;

(E) underwrite insurance at the consumer's request or for the following purposes in relation to a consumer's insurance:

(i) account administration;

(ii) reporting;

(iii) investigating or preventing fraud or material misrepresentation;

(iv) processing premium payments;

(v) processing insurance claims;

(vi) administering insurance benefits, including utilization review activities;

(vii) participating in research projects;

(viii) as required or specifically allowed by federal or state law; or

(3) made in connection with

(A) the authorization, settlement, billing, processing, clearing, transferring, reconciling, or collection of amounts charged, debited, or otherwise paid by using a debit, credit, or other payment card, check or account number, or other means of payment;

(B) the transfer of receivables, accounts, or interest in the receivables or accounts; or

(C) the audit of debit, credit, or other payment information.

3 AAC 26.670. Other exceptions to notice and opt out requirements for disclosure of nonpublic personal financial information.

A licensee is not subject to the requirements for initial notice in 3 AAC 26.610(a)(2), the opt out requirements in 3 AAC 26.625 and 3 AAC 26.645, or the requirements in 3 AAC 26.660 if the licensee discloses nonpublic personal financial information

(1) with the consent or at the direction of the consumer, unless the consumer has revoked the consent or directive;

(2) to protect the confidentiality or security of the licensee's records pertaining to the consumer, service, product, or transaction;

(3) to protect against or to prevent fraud or unauthorized transactions;

(4) for required institutional risk control;

(5) for resolving

(A) disputes with the consumer who is the subject of the nonpublic personal financial information; or

(B) inquiries to the licensee from the consumer who is the subject of the nonpublic personal financial information;

(6) to a person holding a legal or beneficial interest related to the consumer;

(7) to a person acting in a fiduciary or representative capacity on behalf of the consumer;

(8) to provide information to

(A) a rating or advisory organization regulated under AS 21.39, or to a similar insurance rate advisory organization in another state;

(B) a guaranty association regulated under AS 21.79 or AS 21.80, or to a similar guaranty fund or agency in another state;

(C) an agency that rates the licensee;

(D) a person assessing the licensee's compliance with industry standards; or

(E) the licensee's attorney, accountant, or auditor;

(9) to the extent specifically permitted or required under other provisions of law and in accordance with 12 U.S.C. 3401 - 3422 (Right to Financial Privacy Act of 1978),

(A) to law or regulatory enforcement agencies, including the following:

(i) the Federal Reserve Board;

(ii) the United States Department of the Treasury, Office of the Comptroller of the Currency;

(iii) the Federal Deposit Insurance Corporation;

(iv) the United States Department of the Treasury, Office of Thrift Supervision;

(v) the National Credit Union Administration;

(vi) the United States Securities and Exchange Commission;

(vii) the United States Secretary of the Treasury, with respect to 31 U.S.C. 5311 - 5332 (Records and Reports on Monetary Instruments and Transactions) and 12 U.S.C. 1951 - 1959 (Financial Recordkeeping);

(viii) a state insurance authority;

(ix) the Federal Trade Commission;

(B) to a self-regulatory organization; or

(C) for an investigation of a matter related to public safety;

(10) to a consumer-reporting agency in accordance with 15 U.S.C. 1681 - 1681x (Fair Credit Reporting Act);

(11) from a consumer report reported by a consumer-reporting agency under 15 U.S.C. 1681 - 1681x (Fair Credit Reporting Act) to a nonaffiliated third party;

(12) in connection with a proposed or actual sale, merger, transfer, or exchange of all or a portion of a business or operating unit, if the disclosure of nonpublic personal financial information concerns only consumers of the business or unit;

(13) to comply with federal, state, or local laws or other applicable legal requirements;

(14) to comply with a properly authorized civil, criminal, or regulatory investigation or a subpoena or summons issued by a federal, state, or local authority;

(15) to respond to judicial process or a government regulatory authority that has jurisdiction over a licensee for examination, compliance, investigation, or other purposes authorized by law; or

(16) for a purpose related to the replacement of a group benefit plan, group health plan, group welfare plan, or workers' compensation plan.

3 AAC 26.675. Exceptions for surplus line brokers, surplus lines insurers, and employees, agents, or other representatives of a licensee.

(a) A person licensed, registered, or authorized under AS 21 is not subject to the notice and opt out requirements in 3 AAC 26.610 - 3 AAC 26.670, if the

(1) person is an employee or other representative of another licensee;

(2) licensee for whom the person is acting as an employee or other representative complies with and provides the notices required in 3 AAC 26.610 - 3 AAC 26.670; and

(3) person does not disclose nonpublic personal financial information to anyone other than the licensee for whom the person is acting as an employee or other representative or that licensee's affiliate, except as allowed under 3 AAC 26.660 - 3 AAC 26.670.

(b) A surplus lines broker or surplus lines insurer is not subject to the notice and opt out requirements under 3 AAC 26.610 - 3 AAC 26.670 if the surplus lines broker or surplus lines insurer

(1) does not disclose nonpublic personal information of a consumer to a service provider or nonaffiliated third party for any purpose, including joint marketing services under 3 AAC 26.660, except as permitted under 3 AAC 26.665 or 3 AAC 26.670; and

(2) delivers to the consumer a notice

(A) at the time a customer relationship is established; and

(B) that states in 16-point type the following:

"PRIVACY NOTICE:

Neither the U.S. broker that handled this insurance nor the insurer that has underwritten this insurance will disclose nonpublic personal information concerning the buyer to a non-affiliated broker or insurer except as permitted by law."

3 AAC 26.680. Disclosure of nonpublic personal health information.

(a) Except as provided in (b) of this section or in 3 AAC 26.695(a), a licensee may not disclose nonpublic personal health information about a consumer unless authorization that complies with 3 AAC 26.685 is obtained from the consumer whose nonpublic personal health information the licensee seeks to disclose.

(b) A licensee may disclose a consumer's nonpublic personal health information without obtaining authorization from the consumer if the disclosure is

(1) required by federal or state law or regulation or is otherwise allowed by law;

(2) in response to an order issued by a governmental regulatory authority with jurisdiction over a licensee for examination, investigation, compliance, or other purposes authorized by law;

(3) compelled by a subpoena, search warrant, or other order issued by a court or administrative agency of competent jurisdiction;

(4) for detection, investigation, or reporting of fraud, misrepresentation, or another violation of law;

(5) for the performance of the following insurance functions by or on behalf of the licensee:

(A) claims administration;

(B) claims adjustment or management;

(C) underwriting;

(D) policy placement or issuance;

(E) loss control;

(F) rate development;

(G) guaranty fund functions;

(H) reinsurance, stop-loss insurance, or excess loss insurance;

(I) risk management;

(J) case management;

(K) disease management;

(L) quality assurance or improvement;

(M) performance evaluation;

(N) verification of provider credentials;

(O) utilization review;

(P) peer review activities;

(Q) actuarial, scientific, medical, or public policy research;

(R) grievance procedures;

(S) internal administration of compliance, managerial, and information systems;

(T) policyholder service functions;

(U) auditing;

(V) reporting;

(W) database security;

(X) administration of consumer disputes and inquiries;

(Y) external accreditation standards;

(Z) replacement of a group benefit plan or workers' compensation policy or program;

(AA) activities in connection with the sale, merger, transfer, or exchange of all or part of a business or operating unit;

(6) required to enforce the licensee's rights or the rights of other licensees engaged in carrying out an insurance transaction or providing an insurance product or service that a consumer or customer requests or authorizes; or

(7) allowed without requiring authorization under 45 C.F.R. Parts 160 and 164.

3 AAC 26.685. Authorization to disclose nonpublic personal health information.

(a) Authorization to disclose nonpublic personal health information under 3 AAC 26.680 must be in written or electronic form and must contain

(1) the identity of the consumer who is the subject of the nonpublic personal health information;

(2) a general description of the types of nonpublic personal health information that may be disclosed;

(3) a general description of the person to whom the licensee intends to disclose nonpublic personal health

information, the purpose of the disclosure, and how the recipient of the information will use the information;

(4) the signature of the consumer who is the subject of the nonpublic personal health information or an individual who is legally empowered to grant authority for the consumer and the date signed; the consumer or individual who is legally empowered to grant authority for the consumer may agree to provide an electronic signature subject to AS 09.80;

(5) the length of time for which the authorization is valid; and

(6) a statement to the effect that the consumer may revoke the authorization at any time along with a clear and easy-to-follow description of how the consumer may revoke the authorization.

(b) The duration of an authorization under (a) of this section may be no more than 24 months.

(c) A consumer may revoke an authorization at any time but the revocation may not take effect before the date the licensee receives the revocation.

(d) A licensee shall retain the authorization or a copy of the authorization in the licensee's records of the consumer.

(e) A licensee is not required to deliver an authorization form to a consumer or to include an authorization form in any other notice unless the licensee intends to disclose nonpublic personal health information under 3 AAC 26.680.

3 AAC 26.690. Access to and correction, amendment, or deletion of nonpublic personal information.

(a) Except as provided in (h) of this section and 3 AAC 26.695(a), within 30 working days after the date a licensee or insurance support organization receives a written request from a consumer for recorded nonpublic personal information about the consumer that adequately describes the information requested, if the licensee or insurance support organization can reasonably locate and retrieve the information, the licensee or insurance support organization or an agent authorized to act on behalf of the licensee or insurance support organization shall

(1) provide to the consumer a description of the nature and substance of the requested information in writing or in electronic form, if the consumer agrees to receive that information electronically;

(2) as directed by the consumer,

(A) send the requested information, including the source of the information, to the consumer by mail or electronically; or

(B) allow the consumer to see and copy the requested information in person;

(3) provide to the consumer

(A) if the nonpublic personal information was recorded, a listing of the identities of each person to whom the licensee or insurance support organization has disclosed nonpublic personal information within the two years before the date of the consumer's request; or

(B) if the nonpublic personal information was received but not recorded, a listing of the names of the persons to whom the information is normally disclosed; and

(4) provide to the consumer a summary of the procedure the consumer may use to request correction, amendment, or deletion of recorded nonpublic personal information.

(b) Nonpublic personal information provided under (a) of this section must identify the source of the information if the source of the information is other than

(1) an agent of the licensee or insurance support organization;

(2) the individual who is the subject of the information; or

(3) an individual who is acting in a personal not business or professional capacity.

(c) A licensee or insurance support organization may charge a fee sufficient to cover the costs of providing a copy of the nonpublic personal information to the consumer under (a) of this section.

(d) Except as provided in (h) of this section and 3 AAC 26.695(a), within 30 working days after the date a licensee or insurance support organization receives a written request from a consumer to correct, amend, or delete any recorded nonpublic personal information about the consumer that is in the possession of the licensee or insurance support organization, the licensee or insurance support organization shall

(1) correct, amend, or delete the portion of the information as requested; or

(2) notify the consumer

(A) that the licensee or insurance support organization refuses to make the requested correction, amendment, or deletion;

(B) why the licensee or insurance support organization refuses to make the requested correction, amendment, or deletion; and

(C) of the consumer's right to file a statement as provided under (f) of this section.

(e) If a licensee or insurance support organization corrects, amends, or deletes recorded nonpublic personal information under (d) of this section, the licensee or insurance support organization shall provide written or electronic notification that includes the correction, amendment, or deletion to

(1) a person specifically designated by the consumer who may have received the recorded nonpublic personal information within the two years before the date the licensee or insurance support organization made the correction, amendment, or deletion;

(2) an insurance support organization whose primary source of nonpublic personal information is the licensee

(A) if the insurance support organization systematically received recorded nonpublic personal information from the licensee within seven years before the date the licensee made the correction, amendment, or deletion; and

(B) except if the insurance support organization no longer maintains recorded nonpublic personal information about the consumer; and

(3) an insurance support organization that provided to the licensee the nonpublic personal information that the licensee corrected, amended, or deleted.

(f) If a consumer disagrees with a licensee or insurance support organization's refusal to correct, amend, or delete recorded nonpublic personal information, the consumer may submit to the licensee or insurance support organization one or both of the following statements:

(1) a statement listing the information the consumer believes is the correct, relevant, or fair information;

(2) a statement of the reasons why the consumer disagrees with the licensee's or insurance support organization's refusal to correct, amend, or delete recorded nonpublic personal information.

(g) If a consumer submits a statement under (f) of this section, the licensee or insurance support organization shall

(1) file the statement with the disputed nonpublic personal information and ensure that anyone who reviews the disputed nonpublic personal information is aware of and has access to the statement;

(2) when disclosing disputed nonpublic personal information to a person, clearly identify the information in dispute and provide the consumer's statement to the person; and

(3) provide the consumer's statement to the persons listed and in the manner specified in (e) of this section.

(h) A licensee or insurance support organization is not required to comply with this section with respect to any information about a consumer that relates to and is collected in connection with, or in reasonable anticipation of, a claim or a civil or

criminal proceeding involving the consumer.
(i) In this section, "insurance support organization" means a person who regularly engages in the practice of assembling or collecting information about an individual to provide the information to a licensee for purposes of transacting insurance including
(1) providing to a licensee consumer reports or investigative consumer reports within the meaning given in 15 U.S.C. 1681a(d) - (e); and
(2) collecting information from a licensee or another insurance support organization to detect or prevent fraud, material misrepresentation, or material nondisclosure.

3 AAC 26.695. Relationship to federal privacy laws.
(a) If a licensee complies with all the requirements of 45 C.F.R. Parts 160 and 164 even though the licensee is not required to comply, the licensee is not required to comply with 3 AAC 26.680, 3 AAC 26.685, and 3 AAC 26.690 with respect to health information.
(b) Nothing in 3 AAC 26.605 - 3 AAC 26.749 modifies, limits, or supersedes 15 U.S.C. 1681 - 1681x (Fair Credit Reporting Act) or creates an inference regarding whether information is transaction or experience information under 15 U.S.C. 1681 - 1681x.
(c) Nothing in 3 AAC 26.605 - 3 AAC 26.749 modifies, limits, or supersedes 15 U.S.C. 6801 - 6809 (Gramm-Leach-Bliley Act).

3 AAC 26.700. Nondiscrimination.
(a) A licensee may not unfairly discriminate against a consumer because the consumer opts out of disclosure of nonpublic personal financial information under 3 AAC 26.645.
(b) A licensee may not unfairly discriminate against a consumer because the consumer has not authorized the disclosure of nonpublic personal health information under 3 AAC 26.680.

3 AAC 26.705. Customer information security program.
A licensee shall develop and implement a comprehensive written customer information security program that
(1) includes administrative, technical, and physical safeguards for the protection of customer information;
(2) is appropriate for the size and complexity of the licensee and the nature and scope of the licensee's activities; and
(3) is designed to
(A) ensure the security and confidentiality of customer information;
(B) protect against any anticipated threats or hazards to the security or integrity of the customer information; and
(C) protect against unauthorized access to or use of customer information that could result in substantial harm or inconvenience to a customer.

3 AAC 26.715. Consumers.
(a) For purposes of 3 AAC 26.605 - 3 AAC 26.749, an individual is a consumer if
(1) the individual seeks to obtain, obtains, has obtained, or is a claimant or beneficiary of an insurance product or service that provides coverage primarily for personal, family, or household purposes, including employee job-related injury and disease; and
(2) a licensee has nonpublic personal information about the individual.
(b) For purposes of (a) of this section, a consumer includes
(1) a legal representative of the individual;
(2) an individual who provides nonpublic personal information to the licensee in connection with obtaining or seeking to obtain financial, investment, or economic advisory services relating to an insurance product or service, regardless of whether the licensee establishes an ongoing advisory relationship;
(3) an applicant for insurance before the effective date of insurance coverage; and
(4) an individual
(A) about whom the licensee discloses nonpublic personal financial information to a nonaffiliated third party or nonpublic personal health information other than as allowed under 3 AAC 26.660 - 3 AAC 26.670 and 3 AAC 26.680; and
(B) who is
(i) a beneficiary of a life insurance policy underwritten by the licensee;
(ii) a claimant under an insurance policy issued by the licensee;
(iii) an insured under an insurance policy issued by the licensee;
(iv) an annuitant under an annuity contract issued by the licensee; or
(v) a mortgagor of a mortgage covered under a mortgage insurance policy.
(c) For purposes of (a) of this section, a consumer does not include an individual
(1) who is a consumer of another financial institution for which the licensee
(A) acts solely as an agent of the financial institution; or
(B) provides only processing or other services to the financial institution;
(2) whose sole relationship with the licensee is that of a beneficiary of a trust for which the licensee is a trustee; or
(3) whose sole relationship with the licensee is due to the individual designating the licensee as a trustee for a trust.
(d) If a licensee provides the notices required under 3 AAC 26.610, 3 AAC 26.615, and 3 AAC 26.630 to a plan sponsor, group or blanket insurance policyholder, group annuity contract holder, or workers' compensation policyholder, and the licensee does not disclose nonpublic personal information about an individual described in this subsection to a nonaffiliated third party except as allowed under 3 AAC 26.660 - 3 AAC 26.670, the individual is not a consumer for purposes of (a) of this section or a customer solely because the individual is
(1) a participant or beneficiary of an employee benefit plan that the licensee administers or sponsors or for which the licensee acts as a trustee, insurer, or fiduciary;
(2) covered under a group or blanket insurance policy or group annuity contract issued by the licensee; or
(3) a claimant under a workers' compensation plan.

3 AAC 26.749. Definitions.
In 3 AAC 26.605 - 3 AAC 26.749, unless the context requires otherwise,
(1) "affiliate" means a company that controls, is controlled by, or is under common control with another company;
(2) "affinity program" means a relationship between a financial institution and an unaffiliated third party in which the unaffiliated third party
(A) facilitates the financial institution's efforts to market the financial institution's products or services to the unaffiliated third party's customers or members; or

(B) endorses the financial institution's products or services;

(3) "clear and conspicuous" means reasonably understandable and designed to call attention to the nature and significance of the information;

(4) "collect" means to obtain information that is organized or can be retrieved by the name of a consumer or by a number, symbol, or other identifier assigned to the consumer;

(5) "company" means a corporation, limited liability company, business trust, general or limited partnership, association, sole proprietorship, or other similar organization;

(6) "consumer-reporting agency" has the meaning given in 15 U.S.C. 1681a(f) (Fair Credit Reporting Act);

(7) "control" means the

(A) ownership of, authority over, or power to vote at least 25 percent of the outstanding shares of any class of voting security of a company;

(B) authority in any manner over the election of a majority of the board of directors, trustees, general partners, or other individuals exercising similar functions of the company; or

(C) authority or power to influence the management or policies of a company as determined by the director;

(8) "customer" means a consumer who has a customer relationship with a licensee; "customer" does not include an individual described under 3 AAC 26.715(d);

(9) "customer information systems" means the electronic or physical methods used to access, collect, store, use, transmit, protect, or dispose of customer information;

(10) "customer relationship" means a continuing relationship between a consumer and a licensee under which the licensee provides one or more insurance products or services to the consumer;

(11) "financial institution" means a business that engages in an activity that is financial in nature or an activity incidental to a financial activity under 12 U.S.C. 1843(k) (Bank Holding Company Act of 1956); "financial institution" does not include

(A) with respect to a financial activity, a person that is subject to the Commodity Futures Trading Commission under 7 U.S.C. 1 - 27f (Commodity Exchange Act);

(B) the Federal Agricultural Mortgage Corporation or any person charged and operating under 12 U.S.C. 2001 - 2279cc (Farm Credit Act); or

(C) a business chartered by the United States Congress specifically to engage in securitization of assets, secondary market sales, sales of servicing rights, or similar transactions related to a transaction of a consumer, when the business does not sell or transfer nonpublic personal information to a nonaffiliated third party;

(12) "financial product or service" means a product or service that a financial holding company could offer by engaging in an activity that is financial in nature or an activity incidental to a financial activity under 12 U.S.C. 1843(k) (Bank Holding Company Act of 1956); "financial product or service" includes evaluation or brokerage of information that a financial institution collects in connection with a request or an application from a consumer for a financial product or service;

(13) "health care" means

(A) preventive, diagnostic, therapeutic, rehabilitative, maintenance, or palliative care, services, procedures, tests, or counseling that

(i) relates to the physical, mental, or behavioral condition of an individual; or

(ii) affects the structure or function of the human body or any part of the human body, including the banking of blood, sperm, organ, or any other bodily tissue; or

(B) prescribing, dispensing, or furnishing to an individual drugs, biologicals, medical devices, or health care equipment or supplies;

(14) "health care provider" means

(A) an individual licensed, accredited, or certified in any state to provide health care services; and

(B) a health care facility that is or is not licensed, accredited, or certified to provide health care services;

(15) "health information"

(A) means oral or recorded information or data that is created by or derived from a health care provider or consumer, and that relates to

(i) the past, present, or future physical, mental, or behavioral health or condition of an individual;

(ii) the provision of health care to an individual; or

(iii) payment for the provision of health care to an individual; and

(B) does not include an individual's age or gender;

(16) "licensee" means a person licensed or required to be licensed, authorized or required to be authorized, or registered or required to be registered under AS 21; "licensee" includes a surplus lines insurer or surplus lines broker;

(17) "nonaffiliated third party" means a

(A) person that is not

(i) an affiliate of a licensee; or

(ii) employed jointly by a licensee and a company that is not an affiliate of a licensee; or

(B) company that is an affiliate of the company because of the direct or indirect ownership or control of the company by the licensee or its affiliate in conducting merchant banking or investment banking activities described in 12 U.S.C. 1843(k)(4)(H) (Bank Holding Company Act) or insurance company investment activities described in 12 U.S.C. 1843(k)(4)(I) (Bank Holding Company Act);

(18) "nonpublic personal information" means nonpublic personal financial information and nonpublic personal health information;

(19) "nonpublic personal financial information"

(A) means

(i) personally identifiable financial information; or

(ii) a list, description, or other grouping of consumers and publicly available information pertaining to the consumers that is derived using personally identifiable financial information that is not publicly available; and

(B) does not include

(i) health information;

(ii) publicly available information, unless included in a list described in (A)(ii) of this paragraph; or

(iii) a list, description, or other grouping of consumers and publicly available information pertaining to the consumers that is derived without using personally identifiable financial information that is not publicly available;

(20) "nonpublic personal health information" means health information

(A) that identifies an individual who is the subject of the information; or

(B) in which a reasonable basis exists to believe that the information could be used to identify an individual;

(21) "opt out" means to direct a licensee not to disclose nonpublic personal financial information about a consumer to

a nonaffiliated third party, except as allowed under 3 AAC 26.660 - 3 AAC 26.670;

(22) "personally identifiable financial information" means information a consumer provides to a licensee to obtain an insurance product or service from the licensee, information about a consumer resulting from a transaction between a licensee and a consumer involving an insurance product or service, or information a licensee obtains about a consumer in connection with providing an insurance product or service to the consumer;

(23) "publicly available information" means information that a licensee has a reasonable basis to believe is lawfully made available to the general public from

(A) federal, state, or local government records, including information from government real estate and security interest filings;

(B) widely distributed media, including information from a telephone book, a television or radio program, or a newspaper that is available to the general public on an unrestricted basis or from a web site that is available to the general public regardless of whether a fee or password is required to access the web site; or

(C) disclosures to the general public that are required to be made by federal, state, or local law;

(24) "service provider" means a person that maintains, processes, or otherwise is allowed access to customer information due to the service the person furnishes directly to a licensee;

(25) "working day" means a calendar day other than Saturday, Sunday, an official federal holiday, or an official holiday in this state.

Article 6
Annuity Contract Disclosures

3 AAC 26.750. Applicability.

(a) The provisions of 3 AAC 26.750 - 3 AAC 26.769 apply to a group or individual annuity contract except

(1) a registered or non-registered variable annuity contract or other registered product; in this paragraph, "registered" means subject to the registration and prospectus delivery requirements under 15 U.S.C. 77e (sec. 5 of the Securities Act of 1933);

(2) an immediate or deferred annuity that does not contain a non-guaranteed element;

(3) an annuity that is not subject to (b) of this section and is used to fund

(A) an employee pension plan covered under 29 U.S .C. 1001 - 1461 (Employee Retirement Income Security Act of 1974);

(B) a plan described in 26 U.S.C. 401(a) or (k) or 26 U.S.C. 403(b) (Internal Revenue Code), if the plan, for purposes of 29 U.S.C. 1001 - 1461, is established or maintained by an employer;

(C) a governmental or church plan defined in 26 U.S.C. 414 (Internal Revenue Code);

(D) a deferred compensation plan of a state or local government or tax-exempt organization under 26 U.S.C. 457 (Internal Revenue Code); or

(E) a nonqualified deferred compensation arrangement under 26 U.S.C. 409A (Internal Revenue Code) established or maintained by an employer or plan sponsor;

(4) a settlement of or assumption of liabilities associated with personal injury litigation or any dispute or claim resolution process;

(5) a qualified charitable gift annuity as defined in AS 21.03.070(h); or

(6) an insurance contract that provides guaranteed principal repayment and interest payments for a predetermined period of time.

(b) Notwithstanding (a)(3) of this section, the provisions of 3 AAC 26.750 - 3 AAC 26.769 apply to an annuity used to fund a plan or arrangement

(1) that is funded solely by contributions an employee elects to make on a before-tax or after-tax basis;

(2) for which the insurer has received notification that plan participants may choose from among two or more insurers' annuity contracts; and

(3) for which an insurance producer directly solicits employees to purchase the annuity contract; for purposes of this paragraph, a meeting held by an insurance producer solely for the purpose of educating or enrolling employees in the plan or arrangement is not considered a direct solicitation

3 AAC 26.755. Disclosure document and buyer's guide.

(a) If an application for an annuity contract is taken in a face-to-face meeting, the insurer or licensee shall at or before the time of application give the applicant a copy of

(1) the disclosure document described in (g) of this section; and

(2) the buyer's guide.

(b) Except as provided in (c) and (d) of this section, if an application for an annuity contract is taken by a means other than in a face-to-face meeting, the insurer or licensee, no later than five working days after receiving the completed application, shall send the applicant copies of the documents described in (a)(1) - (2) of this section.

(c) An insurer or licensee that receives an annuity application as a result of direct solicitation through the mail has complied with the requirements in (b) of this section if the insurer or licensee provided a copy of the documents described in (a)(1) - (2) of this section in the mailing that invited the prospective applicant to apply for an annuity contract.

(d) If an insurer or licensee receives an annuity application by means of the Internet, the insurer or licensee may comply with the requirements in (b) of this section by making the documents described in (a)(1) - (2) of this section available for viewing and printing on the insurer's or licensee's website.

(e) A solicitation other than a face-to-face solicitation for an annuity contract must include a statement that an applicant may contact the division or the insurer or licensee for a free buyer's guide.

(f) If the documents described in (a)(1) - (2) of this section are not provided as required under (a) - (d) of this section, the insurer or licensee must include in the annuity contract the right for the applicant to return the annuity contract without penalty within 15 days of the applicant's receipt of the annuity contract.

(g) The disclosure document referenced in this section must include at a minimum the following information:

(1) a statement that the contract is an annuity, including

(A) the form number of the annuity contract;

(B) the generic name of the contract; and

(C) the company product name, if different from the generic name;

(2) the insurer's or licensee's name and address;

(3) a description of the contract and the benefits provided by the contract that emphasizes the long-term nature of the contract including examples of the following, if appropriate:

(A) guaranteed, non-guaranteed, and determinable elements of the contract, and their limitations, if any, and

an explanation of how each of the elements operates, including the impact on the benefits of the contract;

(B) the initial crediting rate specifying any bonus, the durations of the initial crediting rate and any bonus, and a statement that the rates may change and are not guaranteed;

(C) periodic income options both on a guaranteed and non-guaranteed basis, including a description of

(i) how the amount available to purchase income options is determined; and

(ii) generally when the income options will be available;

(D) the cash value, including partial withdrawals, available before, on, and after the maturity date of the contract and how the cash value will be calculated, including a description of any value reduction;

(E) the death benefit, if available, and how it is calculated;

(F) how to access the values in the contract, including cash value, income options, partial withdrawals, and death benefits;

(G) a federal tax status summary and any potential penalties applicable upon withdrawal of values from the contract;

(H) the impact on any annuity values of a benefit rider;

(4) the specific dollar amount or percentage of charges and fees with an explanation of how the charges and fees apply to the contract;

(5) information about the current guaranteed interest rate for new contracts with a clear statement that the rate is subject to change.

(h) An insurer or licensee shall define the terms used in the disclosure statement described in (g) of this section in language that facilitates understanding by a typical person within the segment of the public to which the annuity contract is marketed or sold.

3 AAC 26.760. Report to contract owners.

For an annuity in a payout period with changes in non-guaranteed elements and for the entire accumulation period of a deferred annuity the insurer shall provide each contract owner a report at least annually that contains the status of the contract including at a minimum the following:

(1) the beginning and ending dates of the current report period;

(2) the accumulation and cash surrender value, if any, at the end of

(A) the previous report period; and

(B) the current report period;

(3) during the current report period, the total amounts, if any,

(A) credited to the contract value;

(B) charged to the contract value; or

(C) paid;

(4) the amount of outstanding loans, if any, as of the end of the current report period.

3 AAC 26.769. Definitions.

In 3 AAC 26.750 - 3 AAC 26.769, unless the context requires otherwise,

(1) "buyer's guide" means the National Association of Insurance Commissioners' Buyer's Guide for Deferred Annuities Fixed, dated 2013 and adopted by reference;

(2) "contract owner" means the owner named in the annuity contract or, in the case of a group annuity, the contract certificate holder;

(3) "determinable elements" means values or amounts derived from processes or methods that are guaranteed at issue, that are not subject to company discretion, and that may not be determined until some time after issue; "determinable elements" includes

(A) premiums, credited interest rates, bonuses, benefits values, non-interest based credits, charges, or elements of formulas used to determine any of these; and

(B) a value or amount calculated from

(i) underlying determinable elements only; or

(ii) both determinable and guaranteed elements;

(4) repealed 8/20/2016;

(5) "generic name" means a short title descriptive of the annuity contract;

(6) "guaranteed elements" means the premiums, credited interest rates, bonuses, benefits, values, non-interest based credits, charges, or elements of formulas used to determine any of these, that are guaranteed and determined at issue; "guaranteed elements" includes a value or amount calculated from only guaranteed elements;

(7) "insurance producer" has the meaning given in AS 21.27.900;

(8) "non-guaranteed elements" means the premiums, credited interest rates, bonuses, benefits, values, non-interest based credits, charges, or elements of formulas used to determine any of these, that are subject to discretion by the insurer and are not guaranteed at issue; "non-guaranteed elements" includes a value or amount calculated from at least one non-guaranteed element;

(9) "working day" means a calendar day other than Saturday, Sunday, an official federal holiday, or an official holiday in this state.

Article 7
Suitability in Annuity Contract Transactions

3 AAC 26.770. Applicability.

(a) Except as provided in (b) of this section, 3 AAC 26.770 - 3 AAC 26.789 apply to any sale or recommendation of an annuity.

(b) Unless a provision of 3 AAC 26.770 - 3 AAC 26.789 specifically includes that recommendation, 3 AAC 26.770 - 3 AAC 26.789 do not apply to a transaction involving a

(1) direct-response solicitation if the recommendation is not based on information collected from the consumer under 3 AAC 26.770 - 3 AAC 26.789; or

(2) contract used to fund

(A) an employee pension or welfare benefit plan that is covered under 29 U.S.C. 1001 - 1461 (Employee Retirement Income Security Act of 1974);

(B) a plan described in 26 U.S.C. 401(a) or (k), 26 U.S.C. 403(b), or 26 U.S.C. 408(k) or (p) (Internal Revenue Code) if the plan is established or maintained by an employer;

(C) a governmental or church plan defined in 26 U.S.C. 414 (Internal Revenue Code), including a governmental or church welfare benefit plan;

(D) a deferred compensation plan of a state or local government or tax-exempt organization under 26 U.S.C. 457 (Internal Revenue Code);

(E) a nonqualified deferred compensation arrangement under 26 U.S.C. 409A (Internal Revenue Code) established or maintained by an employer or plan sponsor;

(F) a settlement of or assumption of liabilities associated with personal injury litigation or other dispute or claim resolution process; or

(G) a formal prepaid funeral contract.

(c) Nothing in 3 AAC 26.770 - 3 AAC 26.789 means that an officer, director, or employee of an insurer that transacts insurance, including making a recommendation to a consumer regarding the suitability of an annuity contract, does not need to be licensed under AS 21.27.

3 AAC 26.775. Duties of a producer and an insurer.

(a) When making a recommendation of an annuity, a producer shall act in the best interest of the consumer under the circumstances known at the time the recommendation is made, without placing the producer's or the insurer's financial interest ahead of the consumer's interest. A producer has acted in the best interest of the consumer if the producer has satisfied the following obligations regarding care, disclosure, conflict of interest, and documentation:

(1) the producer, in making a recommendation,

(A) shall exercise reasonable diligence, care, and skill to

(i) know the consumer's financial situation, insurance needs, and financial objectives;

(ii) understand the available recommendation options after making a reasonable inquiry into options available to the producer;

(iii) have a reasonable basis to believe the recommended option effectively addresses the consumer's financial situation, insurance needs, and financial objectives over the life of the product, as evaluated in light of the consumer profile information;

(iv) communicate the basis or bases of the recommendation; and

(v) make reasonable efforts to obtain consumer profile information from the consumer before the recommendation of an annuity;

(B) complies with the requirements of (A) of this paragraph as follows:

(i) the producer shall consider the types of product that the producer is authorized to recommend or sell that address the consumer's financial situation, insurance needs, and financial objectives; the producer is not required to analyze or consider any products outside the authority and license of the producer or other possible alternative products or strategies available in the market at the time of the recommendation; a producer shall be held to the standards applicable to producers with similar authority and licensure;

(ii) the requirements of (A) of this paragraph do not create a fiduciary obligation or relationship and only create a regulatory obligation as established in 3 AAC 26.770 - 3 AAC 26.789;

(iii) the consumer profile information, characteristics of the insurer, and product costs, rates, benefits, and features are those factors generally relevant in making a determination whether an annuity effectively addresses the consumer's financial situation, insurance needs, and financial objectives, but the level of importance of each factor under the care obligation required under (A) of this paragraph may vary depending on the facts and circumstances of a particular case; however, each factor may not be considered in isolation;

(iv) the requirements under (A) of this paragraph include having a reasonable basis to believe that the consumer would benefit from certain features of the annuity, such as annuitization, death or living benefit, or other insurance-related features;

(v) the requirements under (A) of this paragraph apply to the particular annuity as a whole and the underlying subaccounts to which funds are allocated at the time of purchase or exchange of an annuity, and riders and similar product enhancements, if any;

(vi) the requirements under (A) of this paragraph do not mean that the annuity with the lowest one-time or multiple occurrence compensation structure shall necessarily be recommended;

(vii) the requirements under (A) of this paragraph do not mean that the producer has ongoing monitoring obligations under the care obligation under (A) of this paragraph, although those obligations may be separately owed under the terms of a fiduciary, consulting, investment advising, or financial planning agreement between the consumer and the producer;

(viii) in the case of an exchange or replacement of an annuity, the producer shall consider the whole transaction; the requirements of this sub-subparagraph include taking into consideration whether the consumer will incur a surrender charge, be subject to the commencement of a new surrender period, lose existing benefits, such as death, living, or other contractual benefits, or be subjected to increased fees, investment advisory fees, or charges for riders and similar product enhancements, whether the replacing product would substantially benefit the consumer in comparison to the replaced product over the life of the product, and whether the consumer has had another annuity exchange or replacement and, in particular, an exchange or replacement within the preceding 60 months;

(ix) nothing in 3 AAC 26.770 - 3 AAC 26.789 requires a producer to obtain any license other than a producer license with the appropriate line of authority to sell, solicit, or negotiate insurance in this state, including any securities license, in order to fulfill those obligations contained in this section, if the producer does not give advice or provide services that are otherwise subject to securities laws or engage in any other activity requiring other professional licenses;

(2) before the recommendation or sale of an annuity,

(A) the producer shall furnish the required information on Form 1, made part of this section in substantially the following form:

FORM 1

INSURANCE AGENT (PRODUCER) DISCLOSURE FOR ANNUITIES

Do Not Sign Unless You Have Read and Understand the Information in this Form

_____

_____

Business or Agency Name: _____ Website: _____

Business Mailing Address: _____

_____

Electronic Mail Address: _____

_____

_____

I am licensed to sell annuities to You in accordance with state law. If I recommend that You buy an annuity,. it means I believe that it effectively meets Your financial situation. insurance needs. and financial objectives. Other financial products. such as life insurance or stocks. bonds, and mutual funds, also may meet Your needs.
I offer the following products:
_____ Fixed or Fixed Indexed Annuities
_____ Variable Annuities
_____ Life Insurance
I need a separate license to provide advice about or to sell non-insurance financial products. I have checked below any non-insurance financial products that I am licensed and authorized to provide advice about or to sell.
_____ Mutual Funds
_____ Stocks/Bonds
_____ Certificates of DepositsWhose Annuities Can I Sell to You? I am authorized to sell:
_____ Annuities from only One Insurer
_____ Annuities from Two or More Insurers
_____ Annuities from Two or More Insurers although I primarily
sell annuities from:
_____
_____ How I'm Paid for My Work:
It's important for You to understand how I'm paid for my work.
Depending on the particular annuity You purchase, I may be paid a commission or a fee.
Commissions are generally paid to Me by the insurance company while fees are generally paid to Me by the consumer. If You have questions about how I'm paid, please ask Me.Depending on the particular annuity You buy, I will or may be paid cash compensation as follows:
_____ Commission, which is usually paid by the insurance company or other sources, describe:
_____
_____ Fees (such as a fixed amount, an hourly rate, or a percentage of your payment), which are usually paid directly by the customer.
_____ Other (Describe): _____
_____
_____ If You have questions about the above compensation I will be paid for this transaction, please ask me.
I may also receive other indirect compensation resulting from this transaction (sometimes called "non-cash" compensation), such as health or retirement benefits, office rent and support, or other incentives from the insurance company or other sources.
By signing below, You acknowledge that You have read and understand the information provided to You in this document.

_____

Customer Signature

_____

Date

_____

Agent (Producer) Signature

(B) upon request of the consumer or the consumer's designated representative, the producer shall

(i) disclose a reasonable estimate of the amount of cash compensation to be received by the producer; the estimate may be stated as a range of amounts or percentages; and

(ii) disclose whether the cash compensation is a one-time or multiple-occurrence amount, and if a multiple-occurrence amount, the frequency and amount of the occurrence; the frequency and amount may be stated as a range of amounts or percentages;

(C) a producer must have a reasonable basis to believe, before or at the time of the recommendation or sale of an annuity, that the consumer has been informed of the features of the annuity, such as

(i) the potential surrender period and surrender charge;

(ii) the potential tax penalty if the consumer sells, exchanges, surrenders, or annuitizes the annuity;

(iii) mortality and expense fees;

(iv) investment advisory fees;

(v) any annual fees;

(vi) potential charges for and features of riders or other options of the annuity;

(vii) limitations on interest returns;

(viii) potential changes in non-guaranteed elements of the annuity;

(ix) insurance and investment components; and

(x) market risk;

(3) a producer shall identify and avoid or reasonably manage and disclose material conflicts of interest, including material conflicts of interest related to an ownership interest;

(4) a producer shall, at the time of recommendation or sale,

(A) make a written record of any recommendation and the basis for the recommendation subject to 3 AAC 26.770 - 3 AAC 26.789;

(B) obtain, if the consumer refuses to provide the consumer profile information or provides only limited information, a consumer signed statement on Form 2, made a part of this section in substantially the following form:
FORM 2

CONSUMER REFUSAL TO PROVIDE INFORMATION
Do Not Sign Unless You Have Read and Understand the Information in this Form
Why are You being given this form?
You are buying a financial product-an annuity.
To recommend a product that effectively meets Your needs, objectives and situation, the agent broker, or company needs information about You, Your financial situation, insurance needs and financial objectives.
If you sign this form, it means You have not given the agent, broker, or company some or all the information needed to decide if the annuity effectively meets Your needs, objectives, and situation. You may lose protections under the Insurance Code of Alaska if You sign this form or provide inaccurate information.
Statement of Purchaser:
_____ I refuse to provide this information at this time.
_____ I have chosen to provide LIMITED information at this time.
_____
_____

_____

Customer Signature

_____

Date
and
(C) obtain a consumer signed statement on Form 3, made a part of this section in substantially the following form:
FORM 3
Consumer Decision to Purchase an Annuity NOT Based on a Recommendation.
Do Not Sign This Form Unless You Have Read and Understand It.
Why are You being given this form?
You are buying a financial product-an annuity.
To recommend a product that effectively meets your needs, objectives and situation, the agent, broker, or company has the responsibility to learn about You, your financial situation, insurance needs and financial objectives.
If you sign this form, it means You know that you're buying an annuity that was not recommended.
Statement of Purchaser:
I understand that I am buying an annuity, but the agent, broker, or company did not recommend that I buy it. If l buy it without a recommendation, I understand I may lose protections under the Insurance Code of Alaska.

_____

Customer Signature

_____

Date

_____

Agent (Producer) Signature

_____

Date
(5) any requirement applicable to a producer under this subsection applies to every producer who has exercised material control or influence in the making of a recommendation and has received direct compensation as a result of the recommendation or sale, regardless of whether the producer has had any direct contact with the consumer; activities such as providing or delivering marketing or educational materials, product wholesaling or other back office product support, and general supervision of a producer do not in and of themselves constitute material control or influence.
(b) For the purposes of an annuity subject to (2) of this subsection,
(1) a producer, except as provided in (2) of this subsection, has no obligation to a consumer under (a)(l) of this section related to any annuity transaction if
(A) no recommendation is made;
(B) a recommendation is made and is later found to have been prepared based on materially inaccurate information provided by the consumer;
(C) the consumer refuses to provide relevant consumer profile information and the annuity transaction is not recommended; or
(D) a consumer decides to enter into an annuity transaction that is not based on a recommendation of the producer; and
(2) an insurer's issuance of an annuity subject to (1) of this subsection is reasonable under all the circumstances actually known to the insurer at the time the annuity is issued.
(c) Except as provided under (b) of this section, an insurer may not issue an annuity recommended to a consumer unless there is a reasonable basis to believe that the annuity would effectively address the particular consumer's financial situation, insurance needs, and financial objectives, based on the consumer's consumer profile information, as follows:
(1) an insurer shall establish and maintain a supervision system that is reasonably designed to achieve compliance with 3 AAC 26.770 - 3 AAC 26.789, that includes the insurer
(A) establishing and maintaining procedures to inform its producers of the requirements of 3 AAC 26.770 - 3 AAC 26.789;
(B) incorporating the requirements of 3 AAC 26.770 - 3 AAC 26.789 into relevant producer training manuals;
(C) establishing and maintaining standards for producer product training and maintaining reasonable procedures that require producers to comply with 3 AAC 26.778;
(D) providing product-specific training and training materials that explain the material features of the insurer's

annuity products to its producers;

(E) establishing and maintaining procedures for the review of each recommendation before the issuance of an annuity that are designed to ensure that there is a reasonable basis to determine that the recommended annuity would effectively address the particular consumer's financial situation, insurance needs, and financial objectives; review procedures may apply a screening system for identifying selected transactions for additional review and may be accomplished electronically or through other means, including physical means; such an electronic or other system may be designed to require additional review of only those transactions identified for additional review by the selection criteria;

(F) establishing and maintaining reasonable procedures to detect recommendations that are not in compliance with (a), (b), (d), and (e) of this section; this may include confirmation of the consumer's consumer profile information, systematic customer surveys, producer and consumer interviews, confirmation letters, producer statements and attestations, and programs of internal monitoring; nothing in this subparagraph prevents an insurer from complying with this subparagraph by applying sampling procedures, or by confirming the consumer profile information or other required information under this section after issuance or delivery of the annuity;

(G) establishing and maintaining reasonable procedures to assess, before or upon issuance or delivery of an annuity, whether a producer has provided to the consumer the information required to be provided under this section;

(H) establishing and maintaining reasonable procedures to identify and address suspicious consumer refusals to provide consumer profile information;

(I) establishing and maintaining reasonable procedures to identify and eliminate any sales contests, sales quotas, bonuses, and non-cash compensation that are based on the sales of specific annuities within a limited period of time; nothing in this subparagraph prohibits the receipt of health insurance, office rent, office support, retirement benefits, or other employee benefits by employees, if those benefits are not based upon the volume of sales of a specific annuity within a limited period of time; and

(J) annually providing a written report to its senior management, including the senior manager responsible for audit functions; the report must detail a review, with appropriate testing, reasonably designed to determine the effectiveness of the supervision system, the exceptions found, and corrective action taken or recommended, if any;

(2) nothing in this subsection restricts an insurer from contracting for the performance of any of the functions, including maintenance of procedures, required under this section; an insurer is responsible for taking appropriate corrective action and may be subject to sanctions and penalties under 3 AAC 26.785 regardless of whether the insurer contracts for performance of a function and regardless of the insurer's compliance with (3) of this subsection;

(3) an insurer's supervision system under this subsection must include supervision of contractual performance under this subsection; this includes the following:

(A) monitoring and conducting audits, as appropriate, to assure that the contracted function is properly performed; and

(B) annually obtaining written certification from a senior manager with responsibility for the contracted function that the manager has a reasonable basis to represent, and does represent, that the contracted function is properly performed; and

(4) an insurer is not required to include in its supervision system

(A) a producer's recommendation to consumers of products other than the annuity products offered by the insurer; or

(B) consideration of or comparison to options available to the producer or compensation relating to those options other than annuities or other products offered by the insurer.

(d) A producer or an insurer may not dissuade, or attempt to dissuade, a consumer from

(1) truthfully responding to an insurer's request for confirmation of the consumer profile information;

(2) filing a complaint; or

(3) cooperating with the investigation of a complaint.

(e) Recommendations and sales of annuities made in compliance with comparable standards satisfy the requirements of 3 AAC 26.770 - 3 AAC 26.789, subject to the following:

(1) this subsection applies to recommendations and sales of annuities made by professionals in compliance with business rules, controls, and procedures that satisfy a comparable standard even if the standard would not otherwise apply to the product or recommendation at issue; nothing in this subsection limits the director's ability to investigate and enforce the provisions of 3 AAC 26.770 - 3 AAC 26.789;

(2) nothing in (1) of this subsection limits the insurer's obligation to comply with the care obligation in (c)(1) of this section, although the insurer may base its analysis on information received from either the financial professional or the entity supervising the financial professional;

(3) for (1) of this subsection to apply, an insurer shall

(A) monitor the relevant conduct of the financial professional seeking to rely on (1) of this subsection or the entity responsible for supervising the financial professional, such as the financial professional's broker-dealer or an investment adviser registered under federal or state securities laws, using information collected in the normal course of the insurer's business; and

(B) provide to the entity responsible for supervising the financial professional seeking to rely on (1) of this subsection, such as the financial professional's broker-dealer or investment adviser registered under federal or state securities laws, information and reports that are reasonably appropriate to assist the entity to maintain its supervision system;

(4) for purposes of this subsection, "financial professional" means a producer that is regulated and acting as

(A) a broker-dealer registered under federal or state securities laws or a registered representative of a broker-dealer;

(B) an investment adviser registered under federal or state securities laws or an investment adviser representative associated with the federal or state registered investment adviser; or

(C) a plan fiduciary under 29 U.S.C. 1002(21) (sec. 3(21) Employee Retirement Income Security Act of 1974 (ERISA)) or fiduciary under 26 U.S.C. 4975(e)(3) (Internal Revenue Code) or any amendments or successor statutes to those provisions;

(5) for purposes of this subsection, "comparable standards" means

(A) with respect to broker-dealers and registered representatives of broker-dealers, applicable SEC and FINRA rules pertaining to best interest obligations and supervision of annuity recommendations and sales, including SEC Regulation Best Interest (Reg BI) and any amendments or successor regulations to those provisions;

(B) with respect to investment advisers registered under federal or state securities laws or investment adviser representatives, the fiduciary duties and all other requirements imposed on those investment advisers or investment adviser representatives by contract or under 15 U.S.C. 80b-l - 80b-21 (Investment Advisers Act of 1940), including the Form ADV and interpretations; and

(C) with respect to plan fiduciaries or fiduciaries, the duties, obligations, prohibitions, and all other requirements attendant to that status under 29 U.S.C. 1001 - 1461 (Employee Retirement Income Security Act of 1974 (ERISA)) or 26 U. S.C. 4975 (Internal Revenue Code) and any amendments or successor statutes to those provisions.

3 AAC 26.778. Producer annuity training requirement.

(a) A producer may not solicit the sale of an annuity product unless the producer has adequate knowledge of the product to recommend the annuity and the producer is in compliance with the insurer's standards for product training. A producer may rely on insurer-provided product-specific training standards and materials to comply with this subsection.

(b) A producer who engages in the sale of an annuity product shall complete a one-time minimum four credit-hour annuity training course approved by the director and provided in accordance with AS 21.27.020 and 3 AAC 23.100 - 3 AAC 23.208 covering the course material listed in (c) of this section.

(c) The annuity training required under (b) of this section must include at a minimum the following topics:

(1) the types of and various classifications of annuities;

(2) identification of the parties to an annuity;

(3) how specific annuity contract provisions affect the consumer;

(4) the application of income taxation of qualified and non-qualified annuities;

(5) the primary uses of an annuity; and

(6) the appropriate standard of conduct, sales practices, replacement, and disclosure requirements that are consistent with 3 AAC 26.750 - 3 AAC 26.825.

(d) The annuity training required under (b) of this section may not include the following topics:

(1) marketing information;

(2) sales techniques;

(3) specific information about a particular insurer's products.

(e) The annuity training required under (b) of this section must comply with the applicable requirements under AS 21.27.020 and 3 AAC 23.100 - 3 AAC 23.208 and include a certificate of completion to a producer who successfully completes the annuity training.

(f) The annuity training required under (b) of this section may be conducted and completed by classroom or self-study that meets the applicable requirements under AS 21.27.020 and 3 AAC 23.100 - 3 AAC 23.208.

(g) A producer meets the training requirements in (b) of this section, if the insurance producer has satisfied substantially similar training requirements of another state.

(h) The annuity training required under (b) of this section may be used to fulfill the credit hour requirements under AS 21.27.020 and 3 AAC 23.100 - 3 AAC 23.208.

(i) An insurer shall verify that a producer has completed the annuity training required under this section before allowing the producer to sell an annuity product for the insurer.

(j) A producer who has completed an annuity training course, that the director approved before January 15, 2023, shall complete before July 15, 2023 either

(1) a new four credit-hour training course approved by the director after July 15, 2022; or

(2) an additional one-time one credit-hour training course approved by the director and provided in accordance with AS 21.27.020 and 3 AAC 23.100 - 3 AAC 32.208 on appropriate sales practices, replacement, and disclosure requirements under 3 AAC 26.770 - 3 AAC 26.789, as those provisions are set out on November 23, 2022.

(k) The satisfaction of the components of the training requirements of any course or courses with components substantially similar to the provisions of this section also satisfies the training requirements of this section in this state.

3 AAC 26.780. Records.

(a) A producer or insurer shall comply with the requirements of AS 21.27.320 and AS 21.27.350 with respect to all information collected from a consumer and other information used in making a recommendation that was the basis for an annuity contact transaction.

(b) An insurer, general agent, independent agency, or producer shall maintain or be able to make available to the director records of the information collected from the consumer, disclosures made to the consumer, including summaries of oral disclosures, and other information used in making the recommendations that were the basis for transactions after the transactions were completed by the insurer consistent with AS 21.27.350. An insurer is permitted, but is not required, to maintain documentation on behalf of a producer.

3 AAC 26.785. Compliance mitigation; penalties; enforcement.

(a) An insurer is responsible for compliance with 3 AAC 26.770 - 3 AAC 26.789. If a violation occurs, either because of the action or inaction of the insurer or its producer, the director may order

(1) an insurer to take reasonably appropriate corrective action for any consumer harmed by a failure to comply with 3 AAC 26.770 - 3 AAC 26.789 by the insurer, by an entity contracted to perform the insurer's supervisory duties, or by the producer;

(2) a general agency, independent agency, or the producer to take reasonably appropriate corrective action for any consumer harmed by the producer's violation of 3 AAC 26.770 - 3 AAC 26.789;

(3) appropriate penalties and sanctions.

(b) Any applicable penalty under AS 21.36.910 may be reduced or eliminated by the director if corrective action for the consumer was taken promptly after a violation was discovered or the violation was not part of a pattern or practice.

(c) The authority to enforce compliance with of 3 AAC 26.770 - 3 AAC 26.789 is vested exclusively with the director.

3 AAC 26.786. Private cause of action.

(a) Nothing in 3 AAC 26.770 - AAC 26.789 creates or implies a private cause of action for a violation of 3 AAC 26.770 - AAC 26.789 or subjects a producer to civil liability under the best interest standard of care set out in 3 AAC 26.775 or under standards governing the conduct of a fiduciary or a fiduciary relationship.

3 AAC 26.789. Definitions.

In 3 AAC 27.770 - 3 AAC 26.789,

(1) "annuity" has the meaning given in AS 21.12.055 with respect to an insurance product that is individually solicited, whether the product is classified as an individual or group annuity;

(2) "cash compensation" means any discount, concession, fee, service fee, commission, sales charge, loan, override, or cash benefit received by a producer in connection with the recommendation or sale of an annuity from an insurer, intermediary, or directly from the consumer;

(3) "consumer profile information" means information that is reasonably appropriate to determine whether a recommendation addresses the consumer's financial situation, insurance needs, and financial objectives, including at a minimum the following:

(A) age;
(B) annual income;
(C) financial situation and needs, including debts and other obligations;
(D) financial experience;
(E) financial objectives;
(F) intended use of the annuity;
(G) financial time horizon;
(H) existing assets or financial products, including investment, annuity, and insurance holdings;
(I) liquidity needs;
(J) liquid net worth;
(K) risk tolerance, including willingness to accept non-guaranteed elements in the annuity;
(L) tax status;
(M) financial resources used to fund the annuity; and
(N) insurance needs;

(4) "continuing education credit hour" has the meaning given in 3 AAC 23.208;

(5) "direct-response solicitation" means a solicitation solely through mail, telephone, the Internet, or other mass communication media;

(6) "FINRA" means the Financial Industry Regulatory Authority or a succeeding agency;

(7) "insurer" means a company required to be licensed under AS 21.12.055 to provide insurance products, including annuities;

(8) "intermediary" means an entity contracted with an insurer or with another entity contracted with an insurer to facilitate the sale of the insurer's annuities by producers;

(9) "material conflict of interest" means

(A) a financial interest of the producer in the sale of an annuity that a reasonable person would expect to influence the impartiality of a recommendation;

(B) does not include cash compensation or non-cash compensation;

(10) "non-cash compensation" means any form of compensation that is not cash compensation, including health insurance, office rent, office support, and retirement benefits.

(11) "non-guaranteed elements" means the premiums, credited interest rates including any bonus, benefits, values, dividends, non-interest-based credits, charges, or elements of formulas used to determine any of these, that are subject to company discretion and are not guaranteed at issue; for purposes of this paragraph an element is considered non-guaranteed if any of the underlying non-guaranteed elements are used in its calculation;

(12) "producer" has the meaning given to "insurance producer" in AS 21.27.990, including for purposes of 3 AAC 26.770 - 3 AAC 26.789 an insurer where no producer is involved;

(13) "recommendation" means

(A) advice provided by a producer to an individual consumer that was intended to result or does result in a purchase, exchange, or replacement of an annuity in accordance with that advice;

(B) does not include general communication to the public, generalized customer services assistance, or administrative support, general educational information and tools, prospectuses, or other product and sales material;

(14) "replacement" means a transaction in which a new annuity is to be purchased, and it is known or should be known to the proposing producer, or to the proposing insurer, regardless of whether a producer is involved, that by reason of the transaction, an existing annuity or other insurance policy has been or is to be any of the following:

(A) lapsed, forfeited, surrendered, or partially surrendered, assigned to the replacing insurer, or otherwise terminated;

(B) converted to reduced paid up insurance, continued as extended term insurance, or otherwise reduced in value by the use of nonforfeiture benefits or other policy values;

(C) amended so as to effect either a reduction in

(i) benefits; or

(ii) the term for which coverage would otherwise remain in force or for which benefits would be paid;

(D) reissued with any reduction in cash value; or

(E) used in a financed purchase;

(15) "SEC" means the United States Securities and Exchange Commission.

Article 8
Life Insurance Policy and Annuity Contract Replacements

3 AAC 26.790. Applicability.

(a) The provisions of 3 AAC 26.790 - 3 AAC 26.819 apply to all life insurance policies and annuity contract transactions except for the following, unless a provision of 3 AAC 26.790 - 3 AAC 26.819 specifically includes the otherwise exempted transaction:

(1) credit life insurance;

(2) a group life insurance policy or group annuity contract transaction in which the direct solicitation of individuals by an insurance producer does not take place; for purposes of this paragraph, the following group meetings held by an insurance producer are not considered direct solicitations of individuals:

(A) a group meeting held solely for the purpose of educating or enrolling individuals;

(B) a group meeting that an individual member of the group requests for assistance with the selection of investment options offered by a single insurer in connection with enrolling the individual;

(3) a group life insurance policy or group annuity contract used to fund prepaid funeral contracts;

(4) an application to the insurer that issued the existing life insurance policy or annuity contract to exercise a contractual change, a conversion privilege, or a term conversion exercised among corporate affiliates;

(5) an existing life insurance policy or annuity contract that is replaced under a program of replacement of existing life insurance policies or annuity contracts that is filed with and approved by the director;

(6) a proposed life insurance policy to replace life insurance under a binding or conditional receipt issued by the same company;

(7) a life insurance policy or annuity contract that is not subject to (b) of this section and is used to fund

(A) an employee pension or welfare benefit plan that is covered under 29 U.S.C. 1001 - 1461 (Employee Retirement Income Security Act of 1974);

(B) a plan described in 26 U.S.C. 401(a) or (k) or 26 U.S.C. 403(b) (Internal Revenue Code), if the plan is established or maintained by an employer;

(C) a governmental or church plan defined in 26 U.S.C. 414 (Internal Revenue Code), including a governmental or church welfare benefit plan;

(D) a deferred compensation plan of a state or local government or tax-exempt organization under 26 U.S.C. 457 (Internal Revenue Code); or

(E) a nonqualified deferred compensation arrangement under 26 U.S.C. 409A (Internal Revenue Code) established or maintained by an employer or plan sponsor;

(8) when new coverage is provided under a life insurance policy and the cost of the policy is paid solely by the insured's employer or by an association of which the insured is a member;

(9) an existing life insurance policy that is a non-convertible term life insurance policy with a term of five years or less that cannot be renewed;

(10) an immediate annuity that is purchased with proceeds from an existing annuity contract;

(11) a structured settlement.

(b) Notwithstanding (a)(7) of this section, the provisions of 3 AAC 26.790 - 3 AAC 26.819 apply to a life insurance policy or annuity contract used to fund a plan or arrangement

(1) that is funded solely by contributions an employee elects to make on a before-tax or after-tax basis;

(2) for which the insurer has been notified that plan participants may choose from among two or more insurers; and

(3) for which an insurance producer directly solicits an individual employee for the purchase of the contract or policy; for purposes of this paragraph, the following activities are not considered direct solicitations:

(A) a group meeting held by an insurance producer solely for the purpose of educating or enrolling individuals;

(B) when initiated by an individual member of a group, an insurance producer assisting with the selection of investment options offered by a single insurer in connection with enrolling an individual.

(c) A registered contract is exempt from 3 AAC 26.805(a)(3) and 3 AAC 26.810(2) with respect to the provision of illustrations or policy summaries if premium or contract contribution amounts and identification of the appropriate prospectus or offering circular is provided.

3 AAC 26.795. Duties of an insurance producer.

(a) An insurance producer who initiates a new application shall submit to the insurer, with or as part of the application, a statement as to whether the applicant has an existing life insurance policy or annuity contract. The statement must be signed by both the applicant and the insurance producer.

(b) If an applicant has an existing life insurance policy or annuity contract, before or at the time of taking an application, the insurance producer shall provide to the applicant a copy of the notice regarding replacements that

(1) conforms with Appendix A of this section;

(2) conforms with Appendix A of this section, but is amended to delete references that are not applicable to the product being sold or replaced; or

(3) is substantially similar to Appendix A of this section and has been approved by the director.

(c) The insurance producer shall read aloud to the applicant the notice provided under (b) of this section before or at the time of application, unless the applicant declines to have the notice read aloud. The applicant and the insurance producer must sign the notice certifying that either the notice was read aloud to the applicant by the insurance producer or that the applicant declined to have the notice read aloud. The insurance producer shall give the applicant a copy of the signed notice. If the notice is presented and signed electronically, the insurer shall mail the applicant a copy of the notice within three working days after the insurer receives the application.

(d) In connection with a replacement, the insurance producer shall give the applicant at the time of application for a new life insurance policy or annuity contract a copy of all sales material used in connection with the replacement. In the case of a direct-response solicitation or electronically presented sales material, the insurance producer or insurer shall provide the life insurance policy holder or annuity contract owner a printed copy of all sales material used in connection with the replacement before or at the time of delivery of the life insurance policy or annuity contract.

(e) In connection with a replacement, except as provided in (f) of this section, an insurance producer shall submit to the replacing insurer with the application for a life insurance policy or annuity contract

(1) a statement identifying any preprinted or electronically presented sales material approved by the replacing insurer and used by the insurance producer; and

(2) copies of any individualized sales material used by the insurance producer, including any illustrations related to the specific life insurance policy or annuity contract purchased.

(f) If a replacing insurer prohibits an insurance producer from using sales material other than the sales material approved by the replacing insurer, the insurance producer shall

(1) submit to the replacing insurer with the application for a life insurance policy or annuity contract a statement that

(A) the insurance producer used only the sales material approved by the replacing insurer; and

(B) copies of all sales material were provided to the applicant as required by (d) of this section; and

(2) retain copies of the statement and sales material required in (1) of this subsection for at least five years after termination or expiration of the life insurance policy or annuity contract.

APPENDIX A IMPORTANT NOTICE:

REPLACEMENT OF LIFE INSURANCE OR ANNUITY
CONTRACT

This document must be signed by the applicant and the insurance producer and a copy left with the applicant.

You are contemplating the purchase of a life insurance policy or annuity contract. In some cases, this purchase may involve discontinuing or changing an existing life insurance policy or annuity contract. If so, a replacement is occurring. Financed purchases are also considered replacements.

A replacement occurs when a new life insurance policy or annuity contract is purchased and, In connection with the sale, you discontinue making premium payments on the existing life insurance policy or annuity contract, or an existing life insurance policy or annuity contract is surrendered, forfeited, assigned to the replacing insurer, or otherwise terminated or used in a financed purchase.

A financed purchase occurs when the purchase of a new life insurance policy or annuity contract involves the use of funds obtained by the withdrawal or surrender of or by borrowing some or all of the policy values, including accumulated dividends, of an existing life insurance policy or annuity contract to pay all or part of any premium or payment due on the new policy. A financed purchase is a replacement.

You should carefully consider whether a replacement is in your best interests. You will pay acquisition costs and there may be surrender costs deducted from your life insurance policy or annuity contract. You may be able to make changes to your existing life insurance policy or annuity contract to meet your insurance needs at less cost. A financed purchase will reduce the value of your existing policy and may reduce the amount paid upon the death of the insured.

We want you to understand the effects of replacements before you make your purchase decision and ask that you answer

the following questions and consider the questions on the back of this form.

1. Are you considering discontinuing making premium payments, surrendering, forfeiting, assigning to the insurer, or otherwise terminating your existing life insurance policy or annuity contract? _____ YES _____ NO

2. Are you considering using funds from your existing life insurance policy or annuity contract to pay premiums due on the new life insurance policy or annuity contract?

_____ YES _____ NO

If you answered "yes" to either of the above questions, list each existing life insurance policy or annuity contract you are contemplating replacing (including the name of the insurer, the insured or annuitant, and the policy or contract number if available) and whether each life insurance policy or annuity contract will be replaced or used as a source of financing:

INSURER
NAMECONTRACT
OR POLICY #INSURED OR
ANNUITANTREPLACED (R) OR
FINANCING (F)1.2.3.

Make sure you know the facts. Contact your existing company or its insurance producer for information about the old life insurance policy or annuity contract. If you request one, an in force illustration, policy summary, or available disclosure documents must be sent to you by the existing insurer. Ask for and retain all sales material used by the insurance producer in the sales presentation. Be sure that you are making an informed decision.

The existing life insurance policy or annuity contract is being replaced because _____ .

I certify that the responses herein are, to the best of my knowledge, accurate.

The insurance producer (check one) _____ did _____ did not read aloud this notice to the applicant.

Applicant's Signature and Printed Name Date

Insurance Producer's Signature and Printed Name Date

I do not want this notice read aloud to me. _____ (Applicant must initial only if applicant does not want the notice read aloud.)

A replacement may not be in your best interest, or your decision could be a good one. You should make a careful comparison of the costs and benefits of your existing life insurance policy or annuity contract and the proposed life insurance policy or annuity contract. One way to do this is to ask the company or insurance producer that sold you your existing life insurance policy or annuity contract to provide you with information concerning your existing life insurance policy or annuity contract. This may include an illustration of how your existing life insurance policy or annuity contract is working now and how it would perform in the future based on certain assumptions. Illustrations should not, however, be used as a sole basis to compare policies or contracts. You should discuss the following with your insurance producer to determine whether replacement or financing your purchase makes sense:

PREMIUMS:Are they affordable?Could they change?You're older - are premiums higher for the proposed new policy?How long will you have to pay premiums on the new policy? On
the old policy?POLICY VALUES:New policies usually take longer to build cash values and to pay dividends.Acquisition costs for the old policy may have been paid. You will
incur costs for the new one.What surrender charges do the policies have?What expense and sales charges will you pay on the new policy?Does the new policy provide more insurance coverage?INSURABILITY:If your health has changed since you bought your old policy, the
new one could cost you more, or you could be turned down.You may need a medical exam for a new policy.Claims on most new policies for up to the first two years can be
denied based on inaccurate statements.Suicide limitations may begin anew on the new coverage.IF YOU ARE KEEPING THE OLD POLICY AS WELL AS THE NEW POLICY:How are premiums for both policies being paid?How will the premiums on your existing policy be affected?Will a loan be deducted from death benefits?What values from the old policy are being used to pay
premiums?IF YOU ARE SURRENDERING AN ANNUITY CONTRACT OR INTEREST-SENSITIVE LIFE PRODUCT:Will you pay surrender charges on your old contract?What are the interest rate guarantees for the new contract?Have you compared the contract charges or other policy
expenses?OTHER ISSUES TO CONSIDER FOR ALL TRANSACTIONS:What are the tax consequences of buying the new policy?Is this a tax-free exchange? (See your tax advisor.)Is there a benefit from favorable "grandfathered" treatment of the old policy under the federal tax code?Will the existing insurer be willing to modify the old policy?How does the quality and financial stability of the new company
compare with your existing company?

3 AAC 26.800. Duties of an insurer that uses an insurance producer.

An insurer shall

(1) maintain a system of supervision and control designed to ensure compliance with the requirements of 3 AAC 26.790 - 3 AAC 26.819 that at a minimum includes

(A) informing the insurer's insurance producers of the requirements of 3 AAC 26.790 - 3 AAC 26.819 and incorporating the requirements of 3 AAC 26.790 - 3 AAC 26.819 into all relevant insurance producer training manuals prepared by the insurer;

(B) providing each of the insurer's insurance producers with a written statement of the insurer's position with respect to the acceptability of replacements and providing guidance to its insurance producers relative to the appropriateness of replacements;

(C) implementing a system to review the appropriateness of each replacement that the insurance producer does not indicate is in accordance with the insurer's position in (B) of this paragraph;

(D) implementing procedures to confirm that the requirements of 3 AAC 26.790 - 3 AAC 26.819 are met;

(E) implementing procedures to detect transactions that are replacements but are not reported as replacements by the applicant or insurance producer; those procedures may include

(i) systematic customer surveys;

(ii) interviews;

(iii) confirmation letters; and

(iv) programs of internal monitoring;

(2) have the capacity to monitor each of its insurance producer's life insurance policy and annuity contract replacements and, upon request, provide to the director a report for each insurance producer showing the number of

(A) life insurance policy replacements and financed purchases as a percentage of the insurance producer's total

annual life insurance sales;

(B) lapses of life insurance policies sold by the insurance producer as a percentage of the insurance producer's total annual sales of life insurance policies;

(C) annuity contract replacements as a percentage of the insurance producer's total annual sales of annuity contracts;

(D) unreported replacements by the existing insurer detected by the insurer's monitoring system under (1)(E) of this section; and

(E) replacements indexed by the replacing insurance producer and existing insurer;

(3) require with or as part of each application for a life insurance policy or an annuity contract a signed statement by both the applicant and the insurance producer indicating whether the applicant has an existing life insurance policy or annuity contract;

(4) require with each application for a life insurance policy or an annuity contract that indicates the applicant has an existing life insurance policy or annuity contract a completed notice regarding replacements that conforms with Appendix A of 3 AAC 26.795;

(5) for an applicant with an existing life insurance policy or annuity contract, retain for at least five years after termination or expiration of a proposed life insurance policy or annuity contract copies of

(A) any sales material required under 3 AAC 26.795;

(B) the basic illustration and any supplemental illustrations related to the specific policy or contract that is purchased; and

(C) the insurance producer's and applicant's signed statements with respect to financing and replacement;

(6) assure that the sales material and illustrations required under 3 AAC 26.795 meet the requirements of 3 AAC 26.790 - 3 AAC 26.819 and are complete and accurate for the proposed life insurance policy or annuity contract;

(7) if an application does not meet the requirements of 3 AAC 26.790 - 3 AAC 26.819,

(A) notify the insurance producer and the applicant that the application does not meet the requirements; and

(B) modify the application to meet the requirements; and

(8) maintain records in a manner that accurately reproduces the actual document.

3 AAC 26.805. Duties of a replacing insurer that uses an insurance producer.

(a) In connection with a replacement, a replacing insurer shall

(1) verify that

(A) the replacing insurer has received the forms required under 3 AAC 26.795(e) and (f); and

(B) the forms received are in compliance with 3 AAC 26.795(e) and (f);

(2) notify any other existing insurer that may be affected by the proposed replacement of that proposed replacement within five working days

(A) after receipt of a completed application that includes a statement as required under 3 AAC 26.795(a) that an applicant has an existing life insurance policy or annuity contract; or

(B) after receipt of other information indicating that an applicant has an existing life insurance policy or annuity contract;

(3) mail a copy of the available illustration or policy summary for the proposed life insurance policy or the available disclosure document for the proposed annuity contract to an existing insurer within five working days after receipt of a request from an existing insurer;

(4) retain copies of the notifications regarding replacement required under 3 AAC 26.795(b) indexed by insurance producer for at least five years and, upon request, provide copies of the notifications to the director;

(5) include in the life insurance policy or annuity contract the right to return the life insurance policy or annuity contract within 30 days after the delivery of the life insurance policy or annuity contract, and

(A) for a life insurance policy or annuity contract other than a variable or market value-adjusted life insurance policy or annuity contract, the right to receive an unconditional full refund of all premiums or considerations paid, including any fees or charges imposed under the life insurance policy or annuity contract;

(B) for a variable or market value-adjusted life insurance policy or annuity contract, the right to receive payment of the cash surrender value provided under the life insurance policy or annuity contract plus the fees or other charges deducted from the gross premiums or considerations or otherwise imposed under the life insurance policy or annuity contract; and

(6) provide the life insurance policy or annuity contract owner notice of the owner's rights under (5) of this subsection.

(b) In a transaction in which the replacing insurer is the same as the existing insurer or the insurers are subsidiaries or affiliates under common ownership or control, the replacing insurer shall, subject to (c) of this section, reduce the incontestability and suicide periods in the new life insurance policy or annuity contract by the amount of time that has elapsed under the replaced life insurance policy's or annuity contract's incontestability and suicide periods up to the amount of the replaced life insurance policy or annuity contract.

(c) For a financed purchase of a life insurance policy or annuity contract, the reduction in the incontestability and suicide periods under (b) of this section may be limited to the amount by which the amount of the replaced life insurance policy or annuity contract is reduced by the use of policy values to finance the new life insurance policy or annuity contract.

(d) If a replacing insurer prohibits an insurance producer from using sales material other than the sales material approved by the replacing insurer, the replacing insurer shall within 10 days after issuance of the new life insurance policy or annuity contract

(1) notify the applicant that the insurance producer has represented to the replacing insurer that copies of all sales material have been left with the applicant;

(2) provide the applicant a toll-free telephone number to contact the compliance personnel of the replacing insurer if the applicant did not receive a copy of all sales material; and

(3) notify the applicant of the importance of retaining copies of the sales material.

(e) A replacing insurer shall maintain copies of the notification required in (d) of this section for at least five years after termination or expiration of the life insurance policy or annuity contract.

3 AAC 26.810. Duties of an existing insurer.

In connection with a replacement, an existing insurer shall

(1) retain the notifications required from replacing insurers under 3 AAC 26.805(a)(2) indexed by replacing insurer for at least five years and, upon request, provide copies of the notifications to the director;

(2) provide notification to the life insurance policy or annuity contract owner of the right to receive information regarding the existing life insurance policy or annuity contract values, including, if available, an in force illustration or policy summary;

(3) provide the life insurance policy or annuity contract owner the information requested under (2) of this section within five working days after receipt of the request;

(4) upon receipt of a request by the life insurance policy owner to borrow, surrender, or withdraw any life insurance policy values, send the life insurance policy owner a notice advising the life insurance policy owner that borrowing, surrendering, or withdrawing insurance policy values may affect the guaranteed elements, non-guaranteed elements, face amount, or surrender value of the life insurance policy;

(5) send the notice required under (4) of this section

(A) separate from the payment of the life insurance policy values, if the payment is sent to a person other than the life insurance policy owner; and

(B) only at the time of the first loan in the case of consecutive automatic premium loans.

3 AAC 26.815. Duties of an insurer with respect to a direct-response solicitation.

(a) An insurer shall require, with or attached to an application resulting from a direct-response solicitation, a statement from the applicant regarding whether the applicant intends to replace, discontinue, or change an existing life insurance policy or annuity contract.

(b) If the statement by the applicant under (a) of this section is that the applicant does not intend to replace, discontinue, or change an existing life insurance policy or annuity contract, or if the applicant fails to provide a statement, the insurer shall send the applicant a notice regarding replacement that

(1) conforms with Appendix A of this section; or

(2) is substantially similar to Appendix A of this section and has been approved by the director.

(c) If an insurer proposes a replacement or the statement from an applicant under (a) of this section indicates that the applicant intends to replace, discontinue, or change an existing life insurance policy or annuity contract, the insurer shall provide the applicant or prospective applicant a notice that

(1) conforms with Appendix A of this section;

(2) conforms with Appendix B of this section with references to an insurance producer and other references deleted, if those references are not applicable to the life insurance policy or annuity contract; or

(3) is substantially similar to Appendix B of this section and has been approved by the director.

(d) An insurer shall make a diligent effort to obtain the applicant's signature on the notice provided to the applicant under (c) of this section. The mailing of the notice along with a self-addressed postage paid envelope with instructions for the return of the signed notice will be considered a diligent effort.

(e) An insurer that solicits a life insurance policy or annuity contract subject to 3 AAC 26.790 - 3 AAC 26.819 through a direct-response solicitation must also comply with 3 AAC 26.805(a)(2) - (5) and 3 AAC 26.805(b).

APPENDIX A

NOTICE REGARDING REPLACEMENT

REPLACING OF YOUR LIFE INSURANCE POLICY OR ANNUITY

CONTRACT

Are you thinking about buying a new life insurance policy or annuity contract and discontinuing or changing an existing one? If you are, your decision could be a good one, or a mistake. You will not know for sure unless you make a careful comparison of your existing benefits and the proposed life insurance policy's or annuity contract's benefits.

Make sure you understand the facts. You should ask the company or insurance producer that sold you your existing policy or contract to give you information about it.

Hear both sides before you decide. This way you can be sure you are making a decision that is in your best interest.

APPENDIX B

IMPORTANT NOTICE:

REPLACEMENT OF LIFE INSURANCE OR ANNUITY

CONTRACT

You are contemplating the purchase of a life insurance policy or annuity contract. In some cases this purchase may involve discontinuing or changing an existing life insurance policy or annuity contract. If so, a replacement is occurring. Financed purchases are also considered replacements.

A replacement occurs when a new life insurance policy or annuity contract is purchased and, in connection with the sale, you discontinue making premium payments on the existing life insurance policy or annuity contract, or an existing life insurance policy or annuity contract is surrendered, forfeited, assigned to the replacing insurer, or otherwise terminated or used in a financed purchase.

A financed purchase occurs when the purchase of a new life insurance policy involves the use of funds obtained by the withdrawal or surrender of or by borrowing some or all of the policy values, including accumulated dividends, of an existing policy, to pay all or part of any premium or payment due on the new policy. A financed purchase is a replacement.

You should carefully consider whether a replacement is in your best interests. You will pay acquisition costs and there may be surrender costs deducted from your life insurance policy or annuity contract. You may be able to make changes to your existing life insurance policy or annuity contract to meet your insurance needs at less cost. A financed purchase will reduce the value of your existing policy and may reduce the amount paid upon the death of the insured.

We want you to understand the effects of replacements and ask that you answer the following questions and consider the questions on the back of this form.

1. Are you considering discontinuing making premium payments, surrendering, forfeiting, assigning to the insurer, or otherwise terminating your existing life insurance policy or annuity contract? _____ YES _____ NO

2. Are you considering using funds from your existing life insurance policy or annuity contract to pay premiums due on the new life insurance policy or annuity contract? _____ YES _____ NO

Please list each existing life insurance policy or annuity contract you are contemplating replacing (including the name of the insurer, the insured, and the policy or contract number if available) and whether each life insurance policy or annuity contract will be replaced or used as a source of financing:

INSURER

NAMECONTRACT

OR POLICY #INSURED OR

ANNUITANTREPLACED (R) OR

FINANCING (F)1.2.3.

Make sure you know the facts. Contact your existing company or its insurance producer for information about the old life insurance policy or annuity contract. If you request one, an in force illustration, policy summary, or available disclosure documents must be sent to you by the existing insurer. Ask for and retain all sales material used by the insurance producer in the sales presentation. Be sure that you are making an informed decision. I certify that the responses herein

are, to the best of my knowledge, accurate:
Applicant's Signature and Printed NameDate
PREMIUMS:Are they affordable?Could they change?You're older - are premiums higher for the proposed new policy?How long will you have to pay premiums on the new policy? On the old policy?POLICY VALUES:New policies usually take longer to build cash values and to pay dividends.Acquisition costs for the old policy may have been paid. You will incur costs for the new one.What surrender charges do the policies have?What expense and sales charges will you pay on the new policy? Does the new policy provide more insurance coverage?INSURABILITY:If your health has changed since you bought your old policy, the new one could cost you more, or you could be turned down.You may need a medical exam for a new policy.Claims on most new policies for up to the first two years can be denied based on inaccurate statements.Suicide limitations may begin anew on the new coverage.IF YOU ARE KEEPING THE OLD POLICY AS WELL AS THE NEW POLICY:How are premiums for both policies being paid?How will the premiums on your existing policy be affected?Will a loan be deducted from death benefits?What values from the old policy are being used to pay premiums?IF YOU ARE SURRENDERING AN ANNUITY CONTRACT OR INTEREST-SENSITIVE LIFE PRODUCT:Will you pay surrender charges on your old contract?What are the interest rate guarantees for the new contract?Have you compared the contract charges or other policy expenses?OTHER ISSUES TO CONSIDER FOR ALL TRANSACTIONS:What are the tax consequences of buying the new policy?Is this a tax-free exchange? (See your tax advisor.)Is there a benefit from favorable "grandfathered" treatment of the old policy under the federal tax code?Will the existing insurer be willing to modify the old policy?How does the quality and financial stability of the new company compare with your existing company?

3 AAC 26.819. Definitions.

In 3 AAC 26.790 - 3 AAC 26.819, unless the context requires otherwise,

(1) "credit life insurance" has the meaning given in AS 21.57.160;

(2) "direct-response solicitation" means a solicitation solely through mail, telephone, the Internet, or other mass communication media;

(3) "existing insurer" means the insurer whose life insurance policy or annuity contract is or will be changed or affected by a replacement;

(4) "existing life insurance policy or annuity contract" means an individual life insurance policy or annuity contract in force; "existing life insurance policy or annuity contract" includes

(A) a life insurance policy under a binding or conditional receipt; and

(B) a life insurance policy or annuity contract that is within an unconditional refund period;

(5) "financed purchase" means the purchase of a new life insurance policy involving the actual or intended use of money obtained by the withdrawal or surrender of or by borrowing from values of an existing life insurance policy to pay all or part of any premium due on the new life insurance policy; "financed purchase" includes using withdrawn, surrendered, or borrowed life insurance policy values of an existing life insurance policy within four months before or 13 months after the effective date of a new life insurance policy to pay premiums on the new life insurance policy, if the new life insurance policy is owned by the same policyholder and issued by the same insurer;

(6) "guaranteed elements" means the premiums, credited interest rates, bonuses, benefits, values, non-interest based credits, charges, or elements of formulas used to determine any of these, that are guaranteed and determined at issue; 'guaranteed elements" includes a value or amount calculated from only guaranteed elements;

(7) "illustration" means a presentation or depiction that includes non-guaranteed elements of a policy of life insurance over a period of years as prescribed in 3 AAC 28.800 - 3 AAC 28.849;

(8) "insurance producer" has the meaning given in AS 21.27.900;

(9) "non-guaranteed elements" means the premiums, credited interest rates, bonuses, benefits, values, non-interest based credits, charges, or elements of formulas used to determine any of these, that are subject to discretion by the insurer and are not guaranteed at issue; "non-guaranteed elements" includes a value or amount calculated from at least one nonguaranteed element;

(10) "policy summary" means

(A) for other than universal life policies, a written statement regarding a life insurance policy or annuity contract that contains, to the extent applicable, the

(i) current death benefit;

(ii) annual contract premium;

(iii) current cash surrender value;

(iv) current dividend;

(v) application of the current dividend; and

(vi) amount of any outstanding loan;

(B) for universal life policies, a written statement that contains at least the

(i) beginning and ending date of the current reporting period;

(ii) policy value at the end of the previous reporting period and at the end of the current reporting period;

(iii) total amounts by type of credit or debit that have been credited or debited to the policy value during the current reporting period;

(iv) current death benefit at the end of the current reporting period on each life covered by the policy;

(v) net cash surrender value of the policy at the end of the current reporting period; and

(vi) amount of outstanding loans, if any, at the end of the current reporting period;

(11) "registered contract" means a variable annuity contract or a variable life insurance policy that is subject to the registration and prospectus delivery requirements under 15 U.S.C. 77e (sec. 5 of the Securities Act of 1933);

(12) "replacement" means a transaction involving the purchase of a new life insurance policy or annuity contract in which, by reason of the transaction, the insurance producer or the replacing insurer, if no insurance producer is involved, knows or should have known that an existing life insurance policy or annuity contract was or will be

(A) lapsed, forfeited, surrendered or partially surrendered, assigned to the replacing insurer, or otherwise terminated;

(B) converted to reduced paid-up insurance, continued as extended term insurance, or otherwise reduced in value by the use of nonforfeiture benefits or other policy values;

(C) amended in a manner that results in a reduction in benefits or in the term of the coverage or benefits;

(D) reissued with any reduction in cash value; or

(E) used in a financed purchase;

(13) "replacing insurer" means the insurer that issues or proposes to issue a new life insurance policy or annuity contract that replaces an existing life insurance policy or annuity contract or is a financed purchase;

(14) "sales material" means the illustration and any other written, printed, or electronically presented information created, completed, or provided by the insurer or insurance producer and is used in the presentation to the life insurance

policy or annuity contract owner related to a life insurance contract or annuity contract purchase;

(15) "universal life insurance policy" means a life insurance policy in which separately identified interest credits and charges, including mortality and expense charges, are applied to the life insurance policy;

(16) "working day" means a calendar day other than Saturday, Sunday, an official federal holiday, or an official holiday in this state.

Article 9
Use of Senior-Specific Certifications and Professional Designations

3 AAC 26.820. Applicability.

The provisions of 3 AAC 26.820 - 3 AAC 26.825 apply to a solicitation for, the sale or purchase of, or advice made in connection with, a life insurance or annuity product by an insurance producer.

3 AAC 26.825. Prohibited uses of senior-specific certifications and professional designations.

(a) An insurance producer engages in an unfair or deceptive act or practice if the insurance producer uses a senior-specific certification or professional designation in a manner that could mislead a purchaser or prospective purchaser to believe that the insurance producer has special certification or training in advising or servicing seniors in connection with the solicitation, sale, or purchase of a life insurance or annuity product, or in the provision of advice as to the value of or the advisability of purchasing or selling a life insurance or annuity product, either directly or indirectly by

(1) publications or writings;

(2) oral statements or representation; or

(3) issuing analyses or reports related to a life insurance or annuity product.

(b) Uses of a senior-specific certification or professional designation that are prohibited under (a) of this section include use of

(1) a certification or professional designation by an insurance producer who has not actually earned or is otherwise ineligible to use that certification or designation;

(2) a nonexistent or self-conferred certification or professional designation;

(3) a certification or professional designation that indicates or implies a level of occupational qualifications obtained through education, training, or experience that the insurance producer using the certification or professional designation does not have; or

(4) a certification or professional designation that was obtained from a certifying or designating organization that

(A) is primarily engaged in the business of instruction in sales or marketing;

(B) does not have reasonable standards or procedures for assuring the competency of the recipients of the organization's certificates or designations;

(C) does not have reasonable standards or procedures for monitoring and disciplining the holders of the organization's certificates or designations for improper or unethical conduct; or

(D) does not have reasonable continuing education requirements for the holders of the organization's certificates or designations in order to maintain the certificate or designation.

(c) A certifying or designating organization is not disqualified solely for purposes of (b)(4) of this section if the certification or designation issued by the organization does not primarily apply to sales or marketing and if the organization or the certification in question has been accredited by

(1) the American National Standards Institute;

(2) the National Commission for Certifying Agencies; or

(3) an accrediting agency that the United States Secretary of Education recognizes under 34 C.F.R. Part 602.

(d) In determining whether a combination of words or an acronym standing for a combination of words constitutes a certification or professional designation that could mislead a person to believe that an insurance producer has a special certification or training in advising or servicing seniors, the director will, in addition to other factors, consider

(1) whether the insurance producer uses one or more words such as "senior," "retirement," "elder," or similar words combined with one or more words such as "certified," "registered," "chartered," "advisor," "specialist," "consultant," "planner," or similar words, in the name of the certification or professional designation; and

(2) the manner in which those words are combined.

(e) Unless it is used in a manner that would confuse or mislead a reasonable consumer, a job title within an organization that is licensed or registered by a state or federal financial services regulatory agency is allowable and is not considered a certification or professional designation, if the job title indicates

(1) seniority or standing within the organization;

(2) an individual's area of specialization within the organization.

(f) For purposes of this section, "financial services regulatory agency" includes an agency that regulates

(1) insurers;

(2) insurance producers;

(3) broker-dealers;

(4) investment advisers as defined in 15 U.S.C. 80a-2(a)(20) (sec. 2(a)(20) of the Investment Company Act of 1940); or

(5) investment companies as defined in 15 U.S.C. 80a-3 (sec. 3 of the Investment Company Act of 1940).

Article 10
Retained Asset Accounts

3 AAC 26.850. Applicability.

3 AAC 26.850 - 3 AAC 26.865 apply to a retained asset account.

3 AAC 26.855. Retained asset account defined.

For purposes of 3 AAC 26.850 - 3 AAC 26.865, a retained asset account is any mechanism in which proceeds of a life insurance policy are deposited into an account with beneficiary check-writing or draft-writing privileges, where the proceeds are retained by the insurer under a supplementary contract not involving insurance benefits other than the life insurance proceeds to be deposited into the account.

3 AAC 26.860. Disclosure of settlement options.

(a) An insurer shall provide to the beneficiary, at the time a claim is made, a written description of settlement options available under the policy and how to obtain specific details regarding the options.

(b) The insurer shall provide the following written disclosures to the beneficiary about retained asset accounts before the

retained asset account option is selected:

(1) a statement that payment of the full benefit amount is accomplished by delivery of a draft book or check book;

(2) a statement that one draft or check may be written to access the entire amount, including interest, of the retained asset account at any time;

(3) whether other settlement options are preserved until the entire balance is withdrawn or the balance drops below the insurer's minimum balance requirements;

(4) a statement identifying the account as either a checking or a draft account and an explanation of how the account works;

(5) a description of the account services provided and contact information where the beneficiary may request and obtain more details about the account services;

(6) a description of any fees charged, if applicable;

(7) the frequency of statements showing

(A) the current retained asset account balance;

(B) the interest credited;

(C) withdrawals; and

(D) any other account activity;

(8) the minimum interest rate credited to the retained asset account and how actual interest is determined;

(9) a statement that the interest earned on the account may be taxable;

(10) a statement that retained asset account funds are not guaranteed by the Federal Deposit Insurance Corporation but are guaranteed by the state guaranty association;

(11) a description of the insurer's policy regarding retained asset accounts that become inactive.

3 AAC 26.865. Supplemental contract required.

If an insurer settles benefits through a retained asset account, the insurer shall provide the beneficiary with a supplemental contract that clearly discloses the rights of the beneficiary and the obligations of the insurer under the contract.

Article 11
Consumer Payment Clauses

3 AAC 26.875. Purpose and applicability.

The purpose of 3 AAC 26.875 - 3 AAC 26.899 is to preserve for consumers the benefits of being able to use alternative forms of payment for insurance transactions while preventing potential unfair practices. The provisions of 3 AAC 26.875 - 3 AAC 26.899 apply to all insurers authorized under AS 21.09.

3 AAC 26.880. Credit, charge, or debit card payments.

An insurer may accept a credit, charge, or debit card for a premium payment transaction, either directly or through a third-party payment processor, subject to the following restrictions:

(1) the credit, charge, or debit card option for payment of premiums must be made available to all insureds without arbitrary or unfair discrimination;

(2) a fee associated with a policyholder's payment of premium by credit, charge, or debit card is subject to the requirements of 3 AAC 26.885;

(3) a refund of unearned premium must be made directly to the credit, charge, or debit card holder or as a credit to the insured's credit, charge, or debit card account, unless the insurance producer has a lien against the unearned premium;

(4) the insurance may be canceled only by the named insured, policyholder, insurer, or in the case of health insurance, the health care exchange; the insurance may not be canceled by the credit, charge, or debit card company or a payment processor;

(5) failure of the insured to pay credit, charge, or debit card charges may not cause coverage to be canceled by the insurer unless the credit, charge, or debit card has been canceled or the charge or credit limit has been exceeded;

(6) the election to pay by credit, charge, or debit card at the time of application for insurance must be treated the same as paying the premium in cash where immediate coverage is provided, unless the credit, charge, or debit card has been canceled or the charge or credit limit has been exceeded; and

(7) an insurance producer who accepts a credit, charge, or debit card in payment of insurance premium must deal with the funds when they are actually received in accordance with the provisions of the statute addressing the fiduciary responsibility of the insurance producer.

3 AAC 26.885. Payment plans and other fees.

(a) Fees associated with premium payment transactions, including late payment fees, insufficient funds fees, installment fees, and convenience fees, are allowable subject to the following requirements, regardless of whether the fees are associated with payments made under a payment plan:

(1) fees must be reasonably related to the cost of providing the service to the applicable policyholders, may not be applied in a way that results in arbitrary or unfair discrimination, and may not duplicate costs already reflected in rates;

(2) for types of insurance subject to AS 21.39.040, fees may not be charged until they have been filed in accordance with the rate filing requirements;

(3) rate filings made in accordance with (2) of this subsection must include documentation to demonstrate compliance with (1) of this subsection;

(4) rate filings not specifically related to the fees described in this subsection must clearly account for fees that the insurer has collected within the experience period covered by the expense information required to be included in support of the rate by 3 AAC 31.230(2) or 3 AAC 31.235; and

(5) this subsection does not apply to cancellation fees.

(b) A policyholder's choice of payment plan or payment method may not affect premiums unless the applicable rates and rules have been filed in accordance with the rate filing requirements in AS 21.39.040, 3 AAC 31.235, or 3 AAC 28.472(b) and the rate filing includes documentation sufficient to demonstrate that the differences in premiums comply with 3 AAC 29.250(c), 3 AAC 31.235, or 3 AAC 28.472(b).

(c) A payment plan must allow for a policyholder to pay the remainder of the policyholder's outstanding premium at any time without incurring additional fees.

(d) A payment plan is not required to be filed if it does not have fees associated with it, except as required elsewhere in AS 21 or 3 AAC 21 - 3 AAC 31.

3 AAC 26.890. Insurer options for accepting premium payments.

(a) Except to the extent that an insurer's filed rating plans or policy forms dictate otherwise, nothing in 3 AAC 26.880 or 3 AAC 26.885 requires an insurer to

(1) accept payment of premium by a particular method;

(2) offer a premium payment plan;

(3) charge a fee specifically in connection with

(A) a premium payment plan;

(B) providing another service; or

(C) accepting premium payments by a particular method; or

(4) consider a policyholder's choice of payment plan or payment method as a risk characteristic in rating.

(b) An insurer that does not charge fees described in (a)(3) of this section does not violate AS 21.36.090 or 21.36.120 solely because the insurer does not pass on incurred expenses on an itemized basis.

3 AAC 26.899. Definitions.

In 3 AAC 26.875 - 3 AAC 26.899,

(1) "convenience fee" means a fee

(A) charged by a third-party vendor or payment processor; and

(B) associated with a premium payment transaction;

(2) "payment plan" means an arrangement or plan by which an insurer offers its policyholders an alternative to advance payment of the entire premium;

(3) "payment method" means the way in which a policyholder pays the policyholder's premium, including electronic fund transfers, automated clearing house (ACH) transactions, direct billing, cash, checks, a credit, charge, or debit card, or a third-party payment processor;

(4) "premium payment transaction" means a payment made in consideration for insurance, including a payment related to acquiring, issuing, maintaining, modifying, servicing, or reinstating a policy;

(5) "rate" and "rate filing" includes

(A) a loss cost adjustment; and

(B) a loss cost adjustment filing.